



The Nigerian Economy In 2025 And Beyond

OVERCOMING CHALLENGES, OPTIMIZING OPPORTUNITIES FOR ACCELERATED GROWTH AND DEVELOPMENT





T A B L E O F Content

EXECUTIVE SUMMARY	10
MAIN ECONOMIC HIGHLIGHTS	11
1.0 Global Economic Developments	11
2.0. Domestic Economic Developments	14
2.1. Performance Of Key Sectors In 2024	14
2.2. Challenges To Economic Growth	16
2.3. Notable Ongoing Infrastructure Projects Include:	16
2.4. Real Sector Developments	19
2.5. Inflation	19
2.6. Socio-Economic Developments	22
2.7. Food Insecurity	25
2.7.1 Key Challenges To Food Security	25
2.7.2 Recommendations	27
2.8. Energy Sector And Electricity	28
2.9. Fiscal Sector Developments	31
2.9.1 Monetary And Financial Development	33
2.9.2 External Sector Developments	35
3.0. Key Sectors To Drive Economic Growth In 2025	39
Oil And Gas	39
Agriculture	39
Telecommunications And Ict	39
Manufacturing	39
3.1 Accelerating Nigeria's Economic Growth	40
Priority-Impact Matrix For Nigeria's Low Hanging Economic Drivers	40
3.2. Nigeria's Swot Analysis	45
3.3. Key Considerations For Growing Gdp	45
Measurement	45
Target Setting	46
Rebasing	46
Restructuring	46

4.0.	Economic Outlook	48
4.0.1	Global Outlook	48
4.0.2	Domestic Outlook	48
4.0.3	Macroeconomic Policy Action Priority Matrix	49
	Prioritization Summary	51
	UPCOMING Fiscal Policy and TAX REFORMS	51
	THINKING AHEAD	53

List of Figures

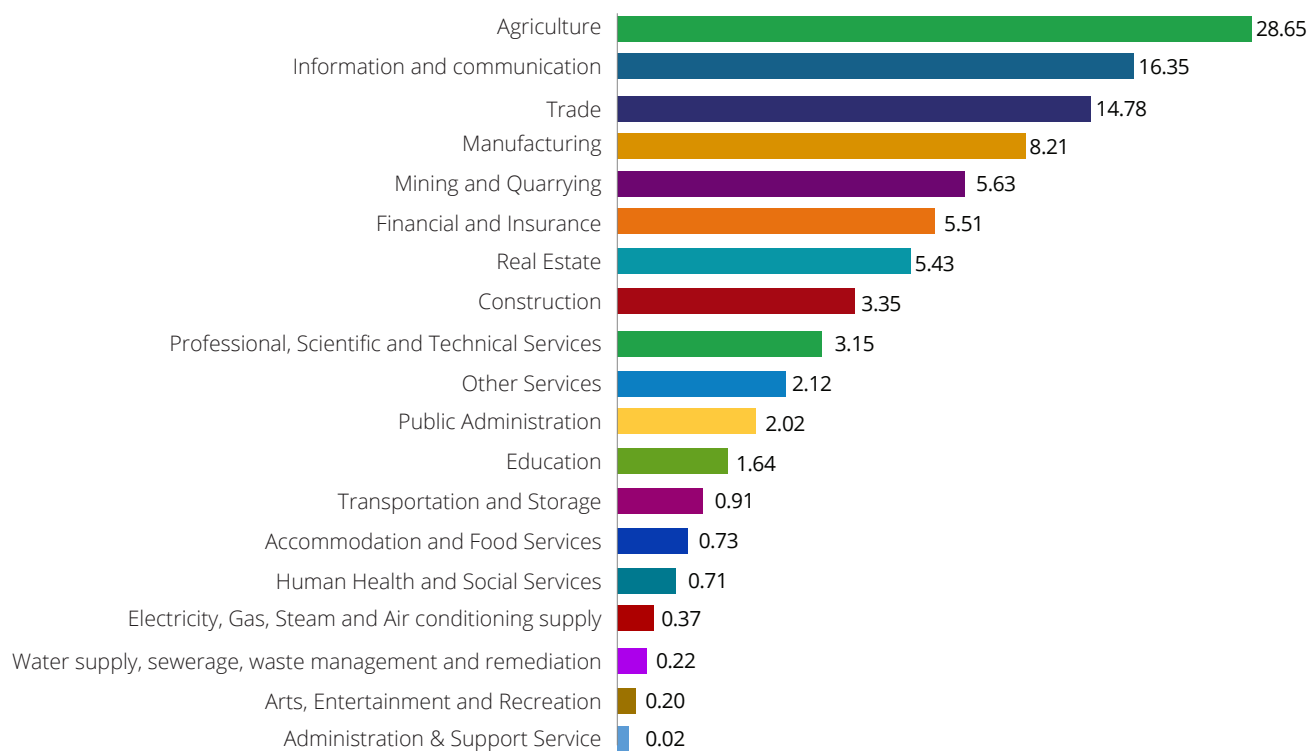
Figure 1 - GDP growth % across some AEs and EMDEs	11
Figure 2 - Real GDP Growth (%) and GDP Contribution	14
Figure 3 - Sectoral GDP	15
Figure 4 - Contribution to Inflation	19
Figure 5 - Inflation Trajectory	20
Figure 6 - Inflation Trend	20
Figure 7 - Inflation Momentum	21
Figure 8 - GNP Per Capita Income vs Inflation	22
Figure 9 - Life expectancy, GD per Capita \$ across some AEs and EMDEs	22
Figure 10 - Access to Basic Water and Health Care Facilities	23
Figure 11 - Exchange Rate, Inflation Rate, and Petroleum Motor Spirit (PMS)	24
Figure 12 - Yield 100 g/ha for Selected Crops across various Countries	25
Figure 13 - Electricity Generation	28
Figure 14 - Monthly FAAC Allocation	31
Figure 15 - Monthly FAAC Allocation (b)	31
Figure 16 - Fiscal Deficit	32
Figure 17 - Nigeria's Foreign Trade	35
Figure 18 - External Reserves (US\$ Billion) Reserves	37

List of Tables

Table 1 - Yield 100 g/ha for Selected Crops across various Countries	25
Table 2 - Real Interest rate Evolution and Bond Yield across some AEs and EMDEs	33
Table 3 - Monetary Policy Developments	34
Table 4 - Priority-Impact Matrix for Nigeria's Low hanging Economic Drivers	40
Table 5 - Sectoral GDP - Growth Analysis	43
Table 6 - Sectoral GDP Contribution Analysis	43
Table 7 - Macroeconomic Policy Action Priority Matrix	49



Contribution to GDP% as at Q3 2024



GDP Growth Rate



3.46% ▲

3.19%

Q2 2024

2.98%

Q1 2024

Oil Production



▲ 1.47bpd



Inflation Rate



▲ 33.88%



Oil Price (Brent)



▲ \$73/ bbl



Monetary Policy Rate



▲ 27.5%



Oil Price (Bonny Light)



▲ \$77/bbl



Minimum Wage



▲ N70,000



PMS



▲ N1,060 / liter



External Reserve



▲ \$40bn



Exchange Rate



▲ \$1,680 / N



Current reforms initiated by this Administration.



Fiscal Reforms

Deregulation of PMS: To reduce government expenditure and reallocate resources to priority sectors, the subsidy on Premium Motor Spirit (PMS) was removed in May 2023, leading to an increase in PMS prices from N191 to the current market rates. This decisive policy aims to create fiscal space, enabling the government to channel funds toward critical areas such as healthcare, education, economic growth, and infrastructure development.

Debt Reduction and Restructuring Strategy: The Debt Management Office (DMO) restructured 67% of the N7.3 trillion Ways and Means advances, converting it into long-term securities with a 9% interest rate over a 40-year tenor, significantly lower than the previous 21% rate. This refinancing initiative has strengthened fiscal discipline and resulted in substantial savings on debt servicing obligations.

Reforming Taxation and Revenue Systems: The Presidential Fiscal Policy and Tax Reforms Committee (PFPTRC) was inaugurated to spearhead comprehensive reforms to optimize revenue generation and overhaul the fiscal policy framework. The reforms focus on harmonizing tax laws, broadening the tax base, and introducing new policies that minimize the socio-economic burden on vulnerable populations. Key measures include exempting 95% of the informal sector from taxes, emphasizing taxation on profits ("fruits") rather than initial investments ("seeds"), and promoting a more efficient and equitable tax system.



Monetary Reforms

Exchange Rate Unification: In June 2023, the Central Bank of Nigeria (CBN) liberalized the foreign exchange market to promote price discovery, eliminate wide exchange rate premiums, and curb speculative activities. Key measures to stabilize the foreign exchange market include clearing FX backlogs, imposing ceilings on banks' Net Open Positions, lifting restrictions on 43 previously banned items from accessing FX, and introducing new regulations for Bureau de Change (BDC) operators.

Orthodox Monetary Policy: The CBN has adopted orthodox monetary policy measures, including gradually increasing the Monetary Policy Rate (MPR) from 18.5% in June 2023 to 27.5% by November 2024. These adjustments aim to combat inflationary pressures and support the monetary authority's commitment to maintaining price stability.



Sectoral Reforms

Banking Sector: The Central Bank of Nigeria (CBN) has raised capital requirements for banks to strengthen the sector's capacity to support economic growth. Under the new framework, commercial banks with international licenses must maintain a minimum capital of N500 billion, national banks N200 billion, and regional banks N50 billion.

Agriculture Sector: To combat rising inflation and bolster food production, the Federal Government introduced a 150-day duty-free window for importing essential food commodities. Additionally, it launched dry season farming initiatives, distributed seeds and fertilizers, and improved farmland security. These measures aim to enhance food production and address the inflationary pressures affecting Nigerians.

Power Sector: The Electricity Act aims to mitigate Nigeria's persistent energy issues, which result in an estimated \$26 billion in yearly economic losses. It also seeks to expand electricity access for 85 million Nigerians currently underserved. As part of this initiative, NERC has introduced a tariff of N225/kWh for customers receiving a minimum of 20 hours of power daily, creating a framework for a more reliable and sustainable energy system.



Executive Summary

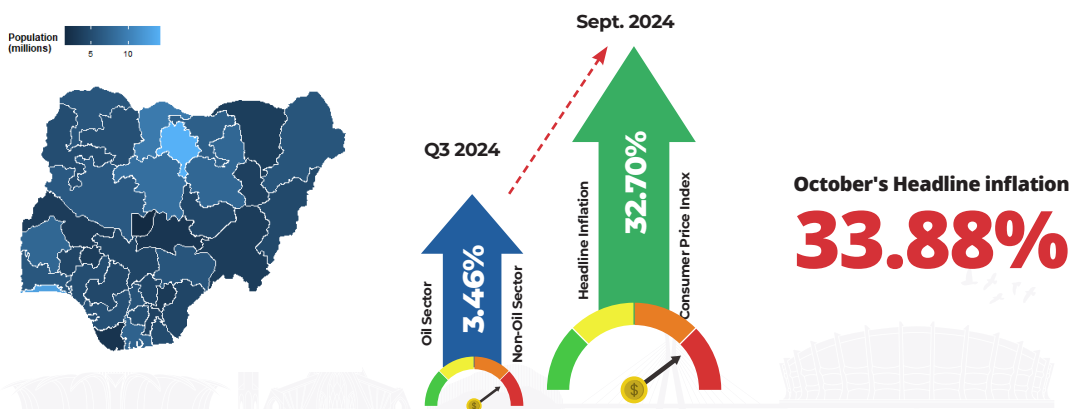
Nigeria currently stands at a pivotal juncture as it transitions into 2025. Despite elevated and significant economic challenges, there are positive indications that Nigeria is gradually unlocking its potential through strategic reforms, investments in key sectors, and targeted policies to address these bottlenecks. Key Sectors such as oil and gas, agriculture, telecommunications, information technology, and manufacturing are being restructured, as new growth opportunities in renewable energy, digital services, and infrastructure are gaining momentum.

The world's major economic think-tanks and banks expect a global growth slow towards the end of 2024 and into 2025, underperforming the 2010s level in nearly 60 countries. While inflation remained mixed across regions, further interest rate cuts are anticipated in matured economies, raising prospects of fund flow into developing ones like Nigeria.

Geopolitical tensions mean crude oil prices have been volatile, having tapered to the \$70 region. Domestically, Nigeria's economy grew by 3.46% in Q3 2024, driven by both oil and non-oil sectors. However, inflation rose in September 2024 after two months of deceleration, reaching 32.70%, with slight prospects of further increase due to exchange rate volatility and the oil price deregulation play. The weak Phillips Curve relationship in Nigeria reflects the structural nature of Nigeria's inflation problem, which demands supply-side reforms, such as infrastructure investment, agricultural productivity, and energy stability, to reduce inflation sustainably. Thereby, Traditional monetary tightening may have limited effectiveness in curbing inflation since demand-driven factors appear less dominant. A coordinated fiscal and monetary policy approach is essential.

However, this report is forward-looking and centered on how the Nigerian economy could defy slow growth projections and embrace a faster economic growth path. Whereas the promise of growing the economy towards a \$1 trillion mark still subsists, it confers a huge pressure on economic managers to find how to accelerate economic growth faster. Most projections about Nigeria's output growth from many quarters including multilateral agencies, range between 3% and 3.5%. This range of growth will certainly not achieve the desired target.

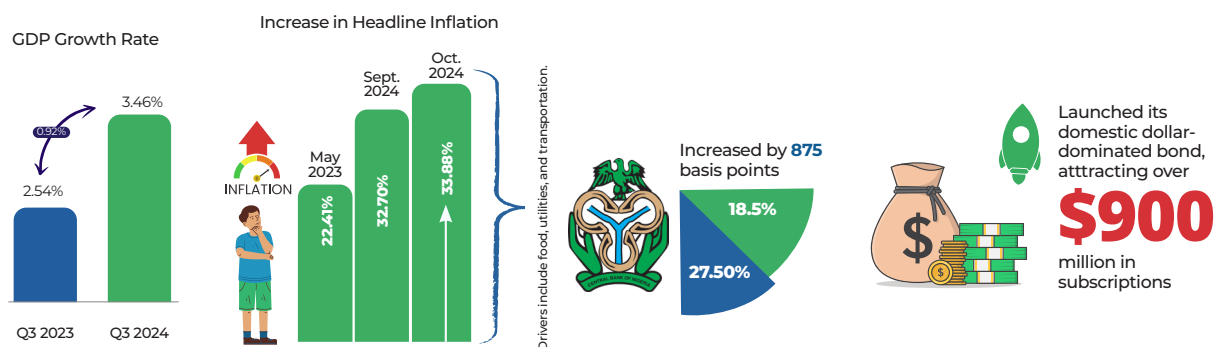
In this report, we have tried to figure out how a sectorial focus could help to break the bounds and complement the government's efforts to rejig the system.. We project that Nigeria's economy should grow faster on the back of major reforms that are already bearing fruits – better ratings, stronger foreign reserves, a new energy around consumer credit, tax reforms that favor the poor, and non-oil export promotion, among other emerging wins.



Main Economic Highlights

GDP growth rate: GDP grew by 3.46% in Q3 2024 compared to 2.54% recorded in Q3 2023. The growth in Q3 2024 was due to performance in the financial insurance and mining and quarrying sectors. Increase in headline inflation: Inflation increased from 22.41% in May 2023 to 32.70% in September 2024 and 33.88 in October 2024. The drivers include food, utilities, and transportation inflation. Increase in Monetary Policy Rate (MPR): CBN increased by 875 basis points from 18.5% to 27.50% between May 2023 and November 2024, to curb the inflationary pressures. Increased capital requirements for banks in March 2024 are also expected to support economic growth and financial stability. About 10 major banks have been able to activate plans towards meeting new requirements, with their prospects looking great.

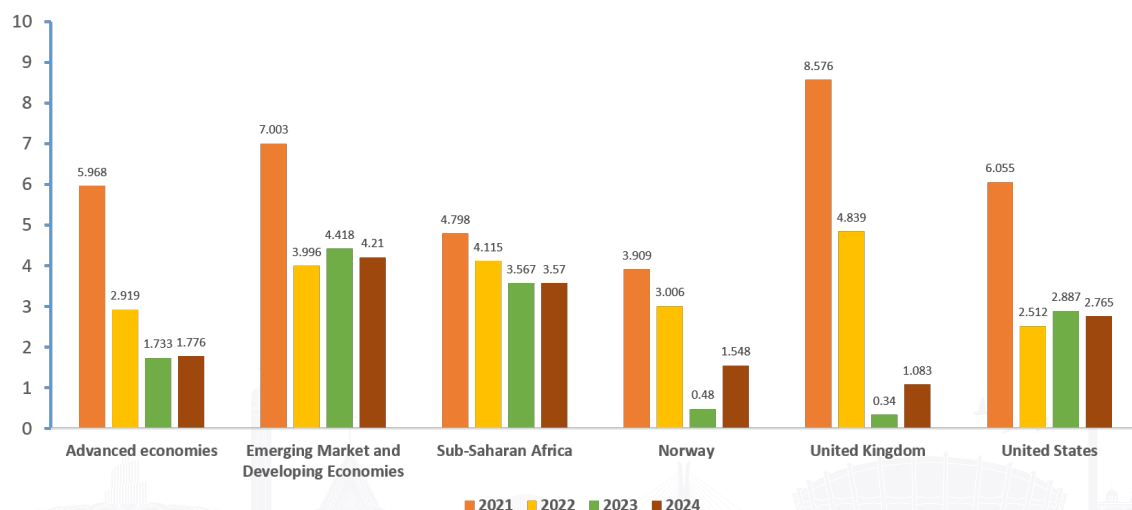
Nigeria has also successfully launched its inaugural domestic dollar-denominated bond, attracting over \$900 million in subscriptions (over 80% oversubscription). Also at the Spring Meetings of the International Monetary Funds, Nigeria's economic managers announced their desire to issue a major Diaspora Bond focused on the USA where most Nigerian diasporans now reside, and that there is a target for \$1 billion monthly in remittances (up from about \$250 million in real remittances in previous years).



1.0 Global Economic Developments

Figure 1 - GDP growth % across some AEs and EMDEs

GDP growth % across some AEs and EMDEs



Source: IMF WEO, Author's Computation

In Q3 2024, global economic growth continued its upward trend, largely fuelled by the services and manufacturing sectors. The Global Purchasing Managers' Index (PMI) rose from 52.3 in Q1 to 52.9 in Q2, reflecting rising demand in both advanced economies (AEs) and emerging markets and developing economies (EMDEs). Services were especially strong, with financial services leading, while investment goods saw slight declines.

Since June, major central banks in advanced economies have started to cut their policy rates, moving their policy stance toward neutral. This will support activity at a time when many advanced economies' labor markets are showing signs of weakness, with rising unemployment rates. It will also help ward off the downside risks. Inflation rates eased across multiple regions, with advanced economies benefiting from decreased costs of energy and food. In the US, inflation dropped from 3.5% in March to 3.0% in June, and the UK saw a marked decline from 4.0% in January to 2.0% by mid-year. In the Eurozone, inflation fell from 2.8% in January to 2.5% in June. Meanwhile, EMDEs saw mixed inflation trends: Brazil's rate rose to 4.2% by June, up from 3.7% in April, while Russia's increased from 7.7% in February to 8.6% in June due to rising input costs. Global monetary conditions are becoming more favorable, relieving pressure on emerging market economies. Their currencies are appreciating against the US dollar, and financial conditions are improving. This shift will help lower imported inflation, making it easier for these countries to pursue their disinflation goals.

Trade expansion marked the first half of 2024, with global trade in goods and services increasing by 1.4% year-on-year, a notable rise from 0.7% during the same period in 2023. Export growth was led by China at 9%, followed by India at 7%, and the United States at 3%. The US Federal Reserve shifted its policy stance in Q2 by reducing its rate from 5.5% to 5.0%, aiming to support growth while managing inflationary pressures. This move has influenced global financial markets, especially longer-term yield expectations, leading to increased bond activity in AEs and EMDEs.

Within EMDEs, India and Brazil continued their upward economic trajectory driven by strong domestic demand, while Mexico and Russia experienced slight contractions. Inflation patterns varied widely; while rates declined in some AEs, rising inflationary pressures persisted in EMDEs like Russia and South Africa due to input costs and supply chain constraints.

These global trends indicate both opportunities and challenges for Nigeria, particularly as the nation navigates inflationary dynamics and trade potentials in alignment with international economic developments.

The US elections have been concluded with President Donald Trump re-emerging for another 4 years term. He will be sworn in in two months and the markets expect sweeping changes in approach based on his outlook.



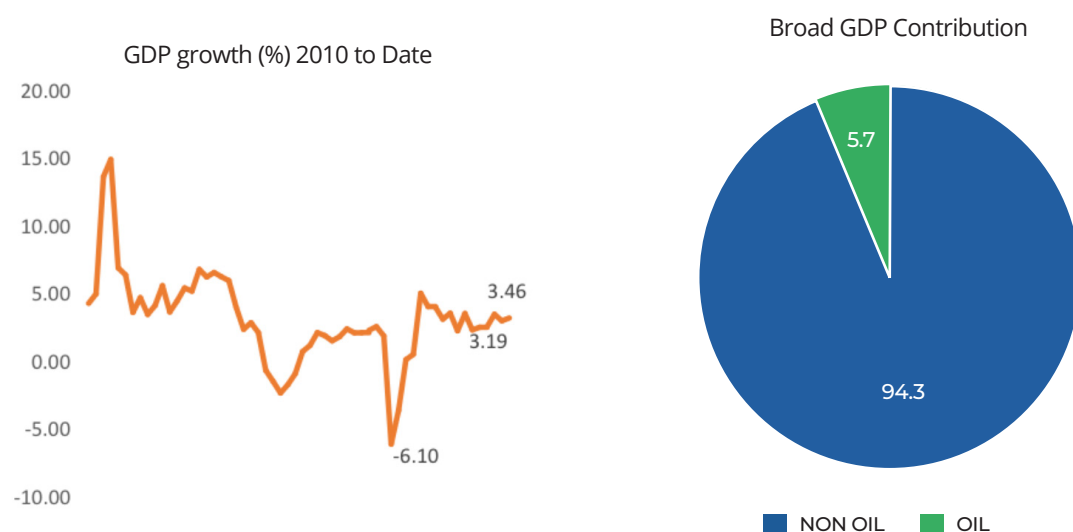


2.0. Domestic Economic Developments

The Nigerian economy has recorded mixed performances across different socioeconomic indicators over the past ten months. As the economy continues to adjust to the impact of exchange rate depreciation and energy subsidy reforms, economic activities continue to expand, albeit at a steady rate.

Macroeconomic Highlight: Nigeria's economy has demonstrated resilience in the face of global headwinds.

Figure 2 - Real GDP Growth (%) and GDP Contribution



Source: NBS, CBN, Authors Computation

2.1. Performance of Key Sectors in 2024

Oil and Gas: The Oil sector contributed 5.70% to the total real GDP at this time in 2024, up from the figure recorded in the corresponding period of 2023 and down from the preceding quarter, where it contributed 5.34% and 6.38% respectively. With the development of gas infrastructure, the sector is set to expand.

Service Sector: The services sector grew by 3.79% and contributed about 58.76% to the total GDP. This was the second-highest performance by the economy in the last five quarters, with the highest being 3.46% in Q4 2023.

Non-Oil Sector: It grew by 2.80% in real terms at this time in 2024, lower compared to the rate recorded in this same period in 2023, which was 3.58% and relatively the same as the 2.80% recorded in the first quarter of 2024.

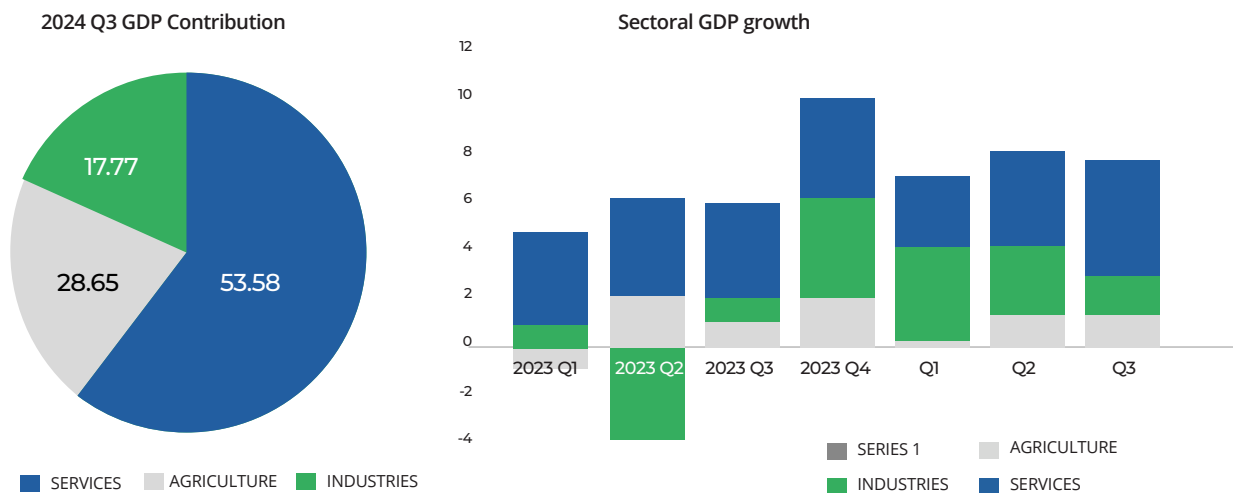
Agriculture: Agriculture grew by 1.4% from the 1.5% growth recorded in 2023, employing over 36% of the workforce and contributing around 22.61% of overall GDP in real terms in 2024. However, insecurity in key farming regions (such as the Middle Belt and North East) has constrained potential growth. By 2025, with improved security, the sector is projected to grow by 5%.

Telecommunications and ICT: The telecom sector which is a major growth driver, contributed approximately 19.78% to GDP at this time in 2024, up from 19.54% recorded in the same period in 2023, and higher than in the first quarter of 2024 at 17.89%. The tech ecosystem, particularly fintech, attracted over \$ 2 billion in foreign investment in 2024. With projections indicating continued growth, ICT's contribution to GDP could reach 22% by 2025.

Manufacturing: The manufacturing sector contributed 12.68% to the GDP at this time in 2024, lower than the figure recorded in the corresponding period of 2023 at 14.55% and lower than Q1 of 2024 at 14.79%. It was hampered by infrastructure deficits, high energy costs, and import dependency. However, the government's backward integration policy, as well as the promotion of local content, particularly in industries such as cement and automotive assembly, has begun to bear fruit. Manufacturing is projected to grow by 3.8% in 2025, with expansion in textiles, food and beverage processing, and pharmaceuticals, alongside ongoing reforms aimed at reducing the cost of doing business.

The 2025 Budget projects a GDP growth of 6.4% for the year, a very optimistic view that, if achieved, will mark a positive change in the economy's trajectory.

Figure 3 - Sectoral GDP



Source: NBS, CBN, Authors Computation



2.2. Challenges to Economic Growth

Despite the level of progress, Nigeria still faces:

1. Insecurity

Insecurity remains one of the most critical impediments to Nigeria's economic growth. The persistent insurgency in the Northeast, banditry, and kidnappings in the Northwest region have significantly hindered agricultural activities, disrupted trade routes, and led to the displacement of millions.

The Nigerian government has made notable strides in combating insecurity, including military offensives in insurgent-held territories and peace-building initiatives in conflict zones. These efforts, if sustained, are expected to yield results by 2025, reducing disruptions to economic activities and enhancing investor confidence.

2. Infrastructure Deficits

Nigeria's infrastructure gap remains one of its most significant development challenges. The World Bank estimates that Nigeria needs to invest \$3 trillion over the next 30 years to bridge its infrastructure deficit, including roads, power, rail, ports, and water supply. Power generation remains below demand, with installed capacity at 12,000 megawatts (MW), but actual output often falls below 4,000 MW due to operational inefficiencies. As a result, many businesses rely on expensive diesel generators, driving up production costs.

2.3. Notable ongoing infrastructure projects include:

Lagos-Ibadan Railway: This railway, which became operational in 2021, continues to expand its freight capacity, facilitating trade between Nigeria's commercial hub (Lagos) and key agricultural zones in the Southwest. The expansion of this railway network to other regions, such as Kano, is expected by 2025.

Zungeru Hydroelectric Power Project: The Zungeru plant is set to come online by mid-2025, adding 700 MW to Nigeria's power generation capacity. Combined with improvements in grid infrastructure, this project is expected to reduce power outages and support industrial growth.

Lekki Deep Seaport: This project, expected to be fully operational by 2025, will serve as a regional maritime hub, boosting Nigeria's trade capabilities and reducing congestion at the Apapa ports. Domestic economic activity strengthened in Q3 2024, driven by ongoing infrastructure investments and fiscal reforms. Despite persistent inflationary pressures, the government continued implementing broad policy measures to curb the trend.

Real GDP expanded by 3.46% year-on-year (y-o-y) in Q3 2024, an improvement from the 2.54% recorded in Q3 2024, spurred by increased activity across both oil and non-oil sectors. The non-oil sector grew by 3.37% (y-o-y), matching the previous quarter's growth, contributing 94.43 percentage points to GDP. This sector's performance was led by gains in financial and insurance, information and communication, crop production, trade, manufacturing, and real estate sub-sectors.

Growth in the oil sector nearly doubled to 10.15% (y-o-y) in Q2 2024, up from 5.70% in Q1 2024, contributing 0.54 percentage points to overall GDP growth. This increase was supported by higher prices of Nigeria's Bonny Light crude in global markets, which rose from \$79.89 per barrel in Q2 2023 to \$86.97 per barrel in Q2 2024. However, on a quarter-over-quarter basis, the oil sector contracted due to oil theft, vandalism, and other security challenges.

The domestic economy grew in Q1 2024 despite strong headwinds. The real GDP grew by 2.98 percent, compared with 3.46 percent in Q4 2023, driven by expansions in both oil and non-oil sectors. Inflation pressures persisted, as the headline inflation rose to 33.20 percent, compared with 28.92 percent in Q4 2023, owing to rising energy and input costs, and protracted security challenges. Core inflation increased to 25.90 percent from 23.06 percent in the preceding quarter, due to increased cost of input and other structural factors. Food inflation rose to 40.01 percent as against 33.93 percent in the preceding quarter.

Domestic crude oil production rose by 4.25 percent to 1.47mbpd, from 1.41mbpd in the preceding quarter, reflecting increased production due to enhanced security surveillance on oil infrastructure.

Nigeria is planning to rebase its GDP by updating the base year from 2010 to 2019. This change aims to provide a more accurate reflection of the economy, excluding the Covid-affected years (2020-2023) in line with International Best Practices. The rebasing is expected to shift GDP weights and to update erstwhile uncaptured sectors which reflect the evolution of the economy in more sophisticated ways, with the services sector likely seeing the most growth due to factors like banking sector recapitalization, the entertainment industry's expansion, e-commerce growth, and the fintech boom. The services sector, which attracted \$31.8 billion in foreign inflows over the last five years, could gain even more prominence, while the agricultural sector's contribution may decrease. If the rebasing follows the trend of the previous exercise, Nigeria's nominal GDP could increase by over 70%, supporting the government's \$1 trillion economic target, and spurring more energy to work ahead and grow the economy faster – which is the fulcrum of this report.

Preliminary figures showed that fiscal activities saw improvement in Q2 2024 due to increased revenue from both oil and non-oil sources. Federally collected revenue increased by 26.37% from the previous quarter but remained 30.17% below the projected target. The Federal Government of Nigeria's (FGN) retained revenue grew by 57.66% compared to Q1 2024, though it still fell short of the target by 52.94%. FGN expenditure rose by 27.79% over the previous quarter, coming in 4.94% below the goal. The fiscal deficit widened, rising by 16.56% from Q1 2024 and by 97.56% compared to the target, largely due to a 95.95% increase in interest payments. Public debt stood at ₦121.67 trillion (51.22% of GDP) as of the end of March 2024, surpassing the benchmark of 40.00%.

In retrospect, Provisional data for Q1 2024 indicates improved fiscal operations, with federally collected revenue rising by 14.55% compared to the previous quarter, though it fell short of the target by 45.81%. The Federal Government of Nigeria's retained revenue was 14.06% lower than Q4 2023 and missed the target by 70.49%.

The oil sector maintained strong growth at 7.9%, surpassing the non-oil sector after exiting a recession in Q4 2023. However, the agricultural sector's growth slowed to 0.8%, down from 1.7% in the previous half, due to insecurity and logistical issues. The industrial sector grew by 2.9%, while the services sector saw faster growth, reaching 4.1% in H1 2024 compared to 4.0% in H1 2023.

Sectors such as Agriculture, Trade, Manufacturing, and Real Estate, though significant in GDP share (21.8%, 16.0%, 9.2%, and 5.2% respectively), contributed minimally to overall growth.

The real growth of the oil sector was 5.17% (year-on-year) in Q3 2024, indicating an increase of 6.02% points relative to the rate recorded in the corresponding quarter of 2023 (-0.85%). Growth decreased by 4.98% points when compared to Q2 2024 which was 10.15%. On a quarter-on-quarter basis, the oil sector recorded a growth rate of 7.39% in Q3 2024. The non-oil sector grew by 3.37% in real terms during the reference quarter (Q3 2024). This rate was higher by 0.62% points compared to the rate recorded in the same quarter of 2023 which was 2.75% and higher than the 2.80% recorded in the second quarter of 2024. This sector was driven in the third quarter of 2024 mainly by Financial and Insurance (Financial Institutions); Information and Communication (Telecommunications); Agriculture (Crop production); Transportation and Storage (Road Transport); Trade; and Construction, accounting for positive GDP growth.

The performance of the GDP in the third quarter of 2024 was driven mainly by the Services sector, which recorded a growth of 5.19% and contributed 53.58% to the aggregate GDP. The agriculture sector grew by 1.14%, from the growth of 1.30% recorded in the third quarter of 2023. The growth of the industry sector was 2.18%, an improvement from 0.46% recorded in the third quarter of 2023. In terms of share of the GDP, the services sector contributed more to the aggregate GDP in the third quarter of 2024 compared to the corresponding quarter of 2023.

Sectors such as Agriculture, Trade, Manufacturing, and Real Estate, though significant in GDP share (28.65%, 12.67%, 8.21%, and 5.43% respectively), contributed minimally to overall growth. Construction and Transport were particularly affected by rising operating costs, acting as "hard slogs" for the economy, those in stumbling growth are Construction and Transport, among others, constrained by the impact of reforms on operating costs.

Nigeria's composite (Purchasing Manager's Index) PMI for September 2024 stood at 50.5 index points indicating expansion in economic activities for the first time in thirteen consecutive months of contraction. The August 2024 Purchasing Managers' Index (PMI) survey was conducted from August 12-16, 2024, to gauge the direction of economic activities in Nigeria for the month. The survey respondents were the company's Purchasing and Supply Executives, drawn from the three sectors of the economy, namely: Industry, Services, and Agriculture. The PMI is computed based on responses regarding the direction of change in different aspects of respondents' business activities. An index above 50.0 points indicates an expansion in business activities, while below 50.0 points indicates a contraction in business activities. An index of 50.0 indicates a no-change situation.

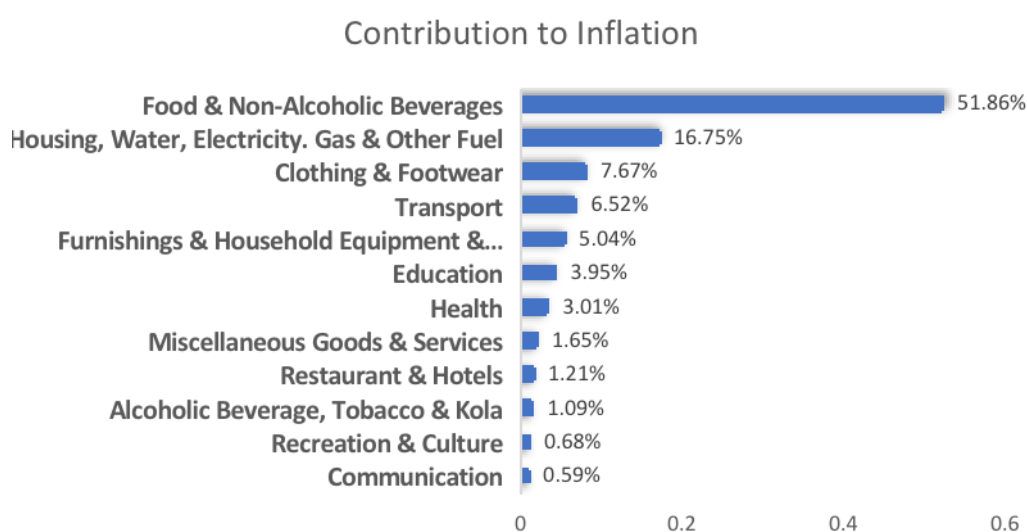
2.4. Real Sector Developments

Nigeria's Gross Domestic Product (GDP) grew by 3.46% year-on-year in real terms during the third quarter of 2024, surpassing the 2.54% growth recorded in the same period of 2023 and the 3.19%, 2.98% growth seen in Q2, Q1 respectively 2024. This growth was primarily driven by the Services sector, which expanded by 3.79% and contributed 58.76% to the total GDP. The agriculture sector posted a growth rate of 1.41%, slightly lower than the 1.50% growth from Q2 2023. The industrial sector saw a marked improvement, growing by 3.53%, compared to a contraction of -1.94% in the second quarter of 2023. Both the industry and services sectors increased their share of GDP in Q2 2024 compared to the same period in 2023. For the quarter, per NBS data, the nominal aggregate GDP stood at N60.93 trillion, reflecting a significant increase compared to N52.103 trillion in Q2 2023, representing a year-on-year nominal growth of 16.94%. In retrospect, Nigeria's real GDP grew by 2.98% in Q1 2024, a deceleration compared to 3.46% in Q4 2023. Growth was driven by expansions in both oil (5.70%) and non-oil sectors (2.80%). The services sector remained the largest contributor to overall GDP growth, accounting for 58.04% of GDP. Key growth sub-sectors in the services sector included financial & insurance (31.24%), information & communication (5.43%), trade (1.23%), and real estate (0.84%). The agriculture sector grew by 0.18%, driven by increased crop production supported by government interventions. However, livestock and fishing sub-sectors contracted due to high feed costs.

The industrial sector maintained positive growth, expanding by 2.19%, supported by improvements in crude oil production and the operationalization of the Dangote Refinery. Key sub-sectors that contributed to growth were mining & quarrying (6.30%), manufacturing (1.49%), and water supply (6.95%). Conversely, electricity supply and construction contracted, with declines of 5.43% and 2.14%, respectively.

2.5. Inflation

Figure 4 - Contribution to Inflation



Source: NBS, Authors Calculation

Since February 2016, Nigeria's inflation has consistently remained in double digits, driven largely by escalating food prices, which form a significant part of the consumer basket. This spike in food inflation began when the Central Bank of Nigeria (CBN) initiated its 'Ways and Means' lending to the government. Domestic issues like border closures, currency depreciation, inadequate infrastructure, and economic inefficiencies further worsened the situation. On the external front, challenges such as the crude oil price collapse in 2016, the subsequent stagflation in 2016/2017, and the land border closures of 2019 set the stage for further inflationary pressures. More recently, global disruptions such as the COVID-19 pandemic, supply chain constraints from China, and the surge in international commodity prices driven by the war in Ukraine have intensified the problem.

The collective cobra effect of both endogenous and exogenous shocks has triggered well-perceived unintended consequences that precipitated the plunge in household disposable incomes. Inflation pressures persisted, with headline inflation rising to 33.20% in August 2024 from 25.79% in August 2023. The core inflation rate increased to 27.58%, driven by rising input costs and structural issues like insecurity and infrastructural deficits. Food inflation rose to 37.52% from 29.34% in August 2023, mainly due to higher transportation and logistics costs following the unification of the exchange rate exercise, and removal of the PMS subsidy. The processed food components, particularly garri, meat, and fish, drove food inflation. The persistence of inflation has been a very terrible one, the nature of the perplexity of the inflation has triggered a lot of debates, fault-finding, and blame games amongst various analysts, policymakers, and public observers.

Figure 5 - Inflation Trajectory

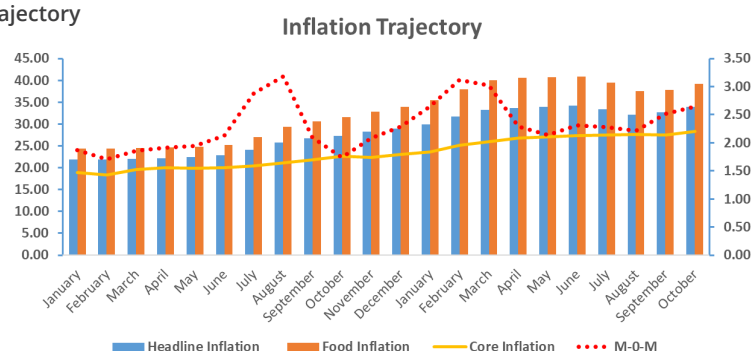
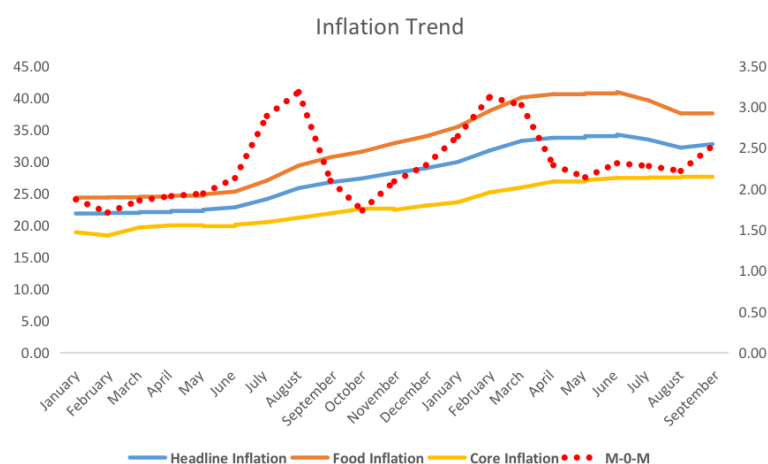


Figure 6 - Inflation Trend



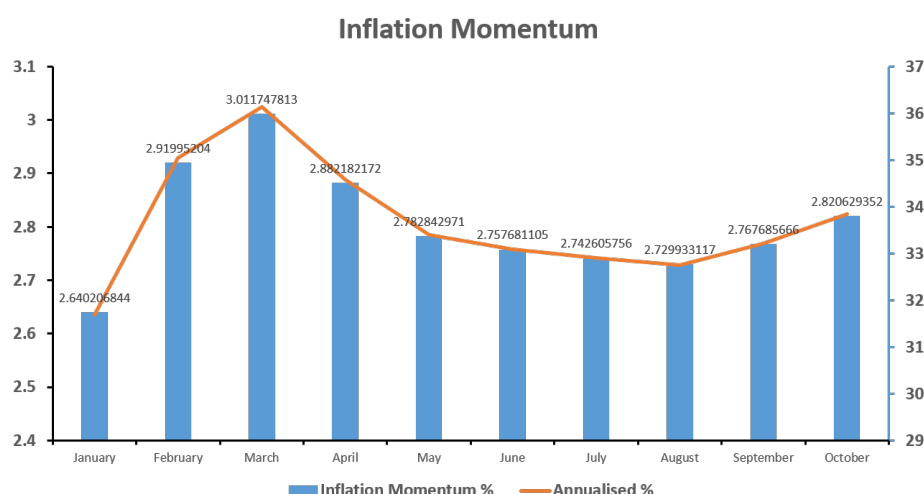
Source: NBS, Authors Computation

One thing is clear, the persistence of the current inflation trajectory cannot be unconnected to imported inflation, which is driven by exchange rate depreciation, foreign receipt shortfalls emanating from Crude Oil theft, excess liquidity concentrated in the hands of a few, etc.

Recent inflation data from May to October indicates a deceleration in price growth, with the index declining from 33.95 in May to a low of 32.15 in August, before rebounding slightly to 33.88 in October. This trend aligns with recent reports of consecutive drops in headline and food inflation, primarily attributed to the statistical base effect and seasonal factors. Harvest periods during the summer months likely contributed to the temporary easing of food prices, supporting this disinflationary phase.

However, emerging factors suggest this moderation may be short-lived. The recent flooding in parts of Northeastern Nigeria poses significant risks to agricultural output, which could disrupt food supply chains and exert upward pressure on food prices. Additionally, the pricing adjustment for Premium Motor Spirit (PMS) implemented by the Nigerian National Petroleum Company Limited (NNPCL) is expected to amplify inflationary pressures. Fuel price increases typically have a broad pass-through effect, impacting transportation costs and cascading into higher prices for goods and services.

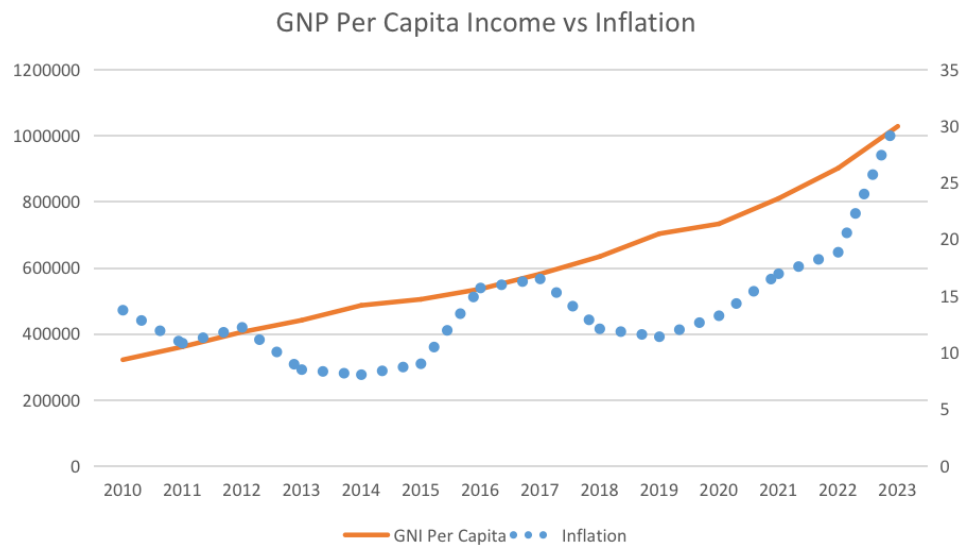
Figure 7 - Inflation Momentum



The slight uptick in the inflation index from August to October may already reflect the early effects of these adverse developments. These shocks are anticipated to counteract the recent disinflationary momentum in the near term. Policymakers should prepare for a possible inflation rebound over the next few quarters.

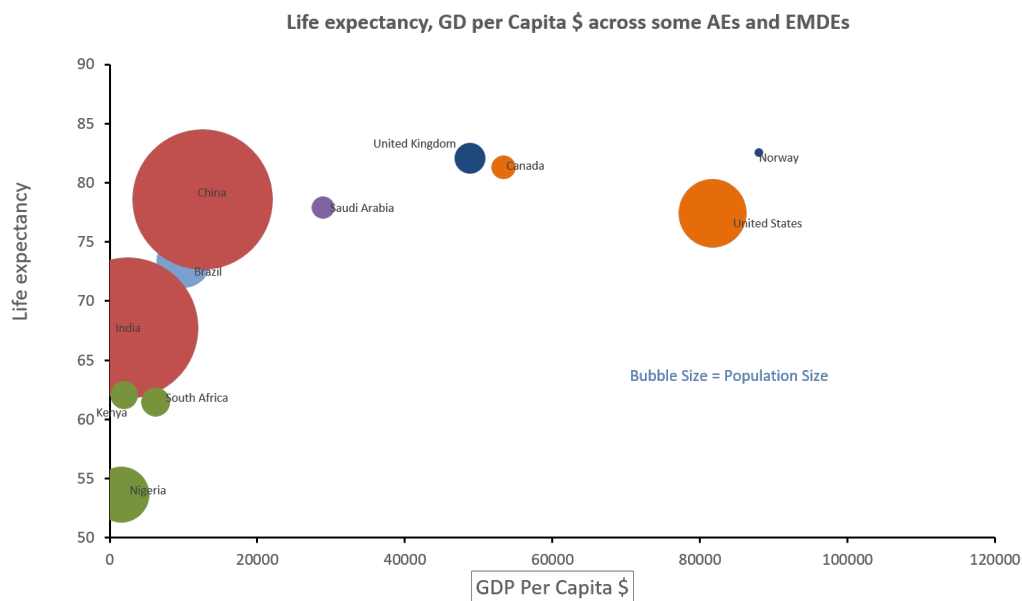
Nonetheless, the narrative suggests that disinflation will likely resume in the medium term, provided no additional major shocks occur. To sustain this outlook, targeted interventions will be critical. Immediate disaster response in flood-affected regions could mitigate disruptions in agricultural production, while temporary support for transport-intensive sectors might cushion the impact of higher PMS prices.

Figure 8 - GNP Per Capita Income vs Inflation



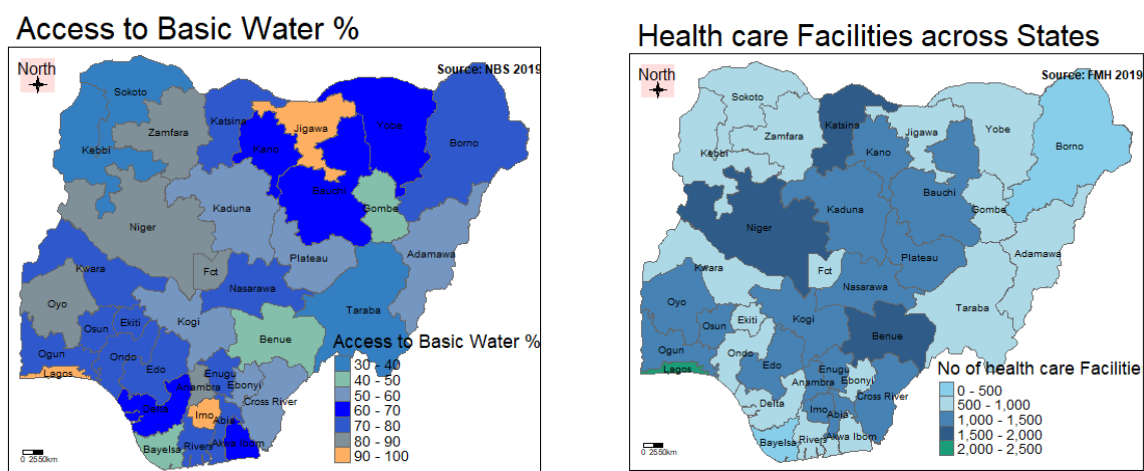
2.6. Socio-Economic Developments

Figure 9 - Life expectancy, GD per Capita \$ across some AEs and EMDEs



Source: WDI, Authors Computation

Figure 10 - Access to Basic Water and Health Care Facilities



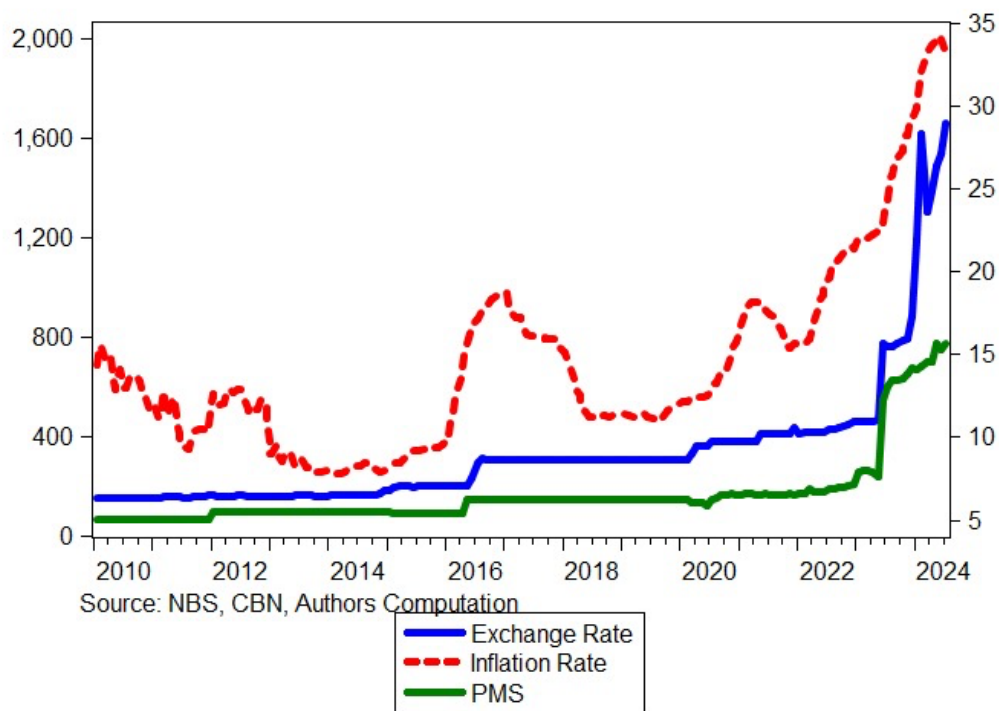
Source: NBS, FMH, Authors Computation

We are viewing socio-economic developments from the lenses of shared Prosperity. As defined by the World Bank, Shared prosperity is the average annual growth rate in income or consumption of the bottom 40 percent of the population in a country. In comparison, the shared prosperity premium is the difference between the growth of the poorest 40 percent and the growth rate for the entire population. Aggregately, Both Shared prosperity and the shared prosperity premium are important indicators of inclusion and well-being that correlate with reductions in poverty and inequality. Shared prosperity assesses how inclusive economic growth is by examining the consumption or income growth of the poorest segment of the population compared to the overall population. Specifically, it refers to the annual growth rate of per capita consumption or income among the poorest 40 percent in a country. This measure aligns with indicator 10.1.1 of the Sustainable Development Goals (SDGs). By tracking the progress of the bottom 40 percent, shared prosperity highlights whether economic growth benefits the less advantaged, making it relevant even in wealthier nations where extreme poverty is less prevalent. Nigeria's heavy reliance on crude oil exports has made the country vulnerable to global oil price volatility, while domestic oil production struggles with inefficiencies and security issues. The persistent weakness in the exchange rate is linked to limited foreign exchange inflows, compounded by external shocks such as falling oil prices, and insufficient diversification of export revenue sources. Moreover, inflationary pressures have been exacerbated by supply chain disruptions, currency depreciation, and recent subsidy removals on PMS.

These economic fundamentals reflect deeper underlying issues, including inadequate infrastructure, weak manufacturing capacity, high import dependency, and governance challenges that affect policy implementation. Together, these factors have constrained economic growth and widened income inequality. Current hard resets as encompassed in recent reforms are designed to assuage all these shortcomings and reverse slow growth. The reforms are designed to benefit the underprivileged, improve productivity, and create a more egalitarian society. The output growth seen in October (3.46%) is an indication that the pains of reforms may be receding and faster growth and prosperity are around the corner.

Over the last decade, the trio of the **Exchange Rate, Inflation Rate, and Petroleum Motor Spirit (PMS)** prices have all soared to unprecedented levels. This has had a profound impact on the standard and quality of living among the populace, as these key factors directly affect household spending, business operations, and the overall cost of living. The rapid depreciation of the Naira, alongside persistently high inflation, has eroded purchasing power, making basic goods and services increasingly unaffordable for many Nigerians. Additionally, the rising cost of PMS—driven by global oil price fluctuations and domestic subsidy reforms—has contributed to higher transportation costs, cascading into increased prices for food and other essential goods.

Figure 11 - Exchange Rate, Inflation Rate, and Petroleum Motor Spirit (PMS)



This situation can largely be attributed to structural economic challenges and policy weaknesses. Nigeria's heavy reliance on crude oil exports has made the country vulnerable to global oil price volatility, while domestic oil production struggles with inefficiencies and security issues. The persistent weakness in the exchange rate is linked to limited foreign exchange inflows, compounded by external shocks such as falling oil prices, and insufficient diversification of export revenue sources. Moreover, inflationary pressures have been exacerbated by supply chain disruptions, currency depreciation, and recent subsidy removals on PMS.

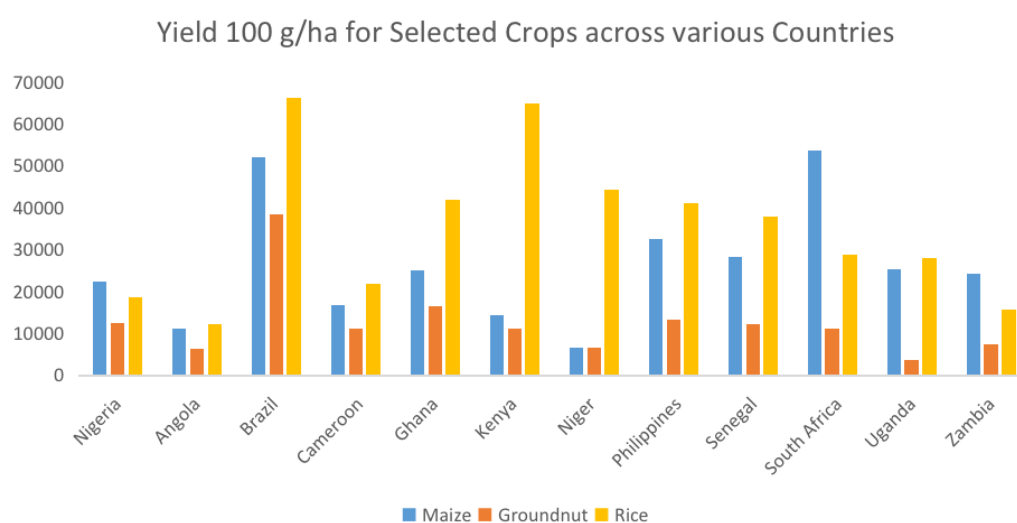
These economic fundamentals reflect deeper underlying issues, including inadequate infrastructure, weak manufacturing capacity, high import dependency, and governance challenges that affect policy implementation. Together, these factors have constrained economic growth, widened income inequality, and pushed more Nigerians into poverty. Without addressing these structural weaknesses, Nigeria's socioeconomic profile will continue to face significant headwinds, further diminishing the quality of life for millions.

2.7. Food Insecurity

2.7.1 Key Challenges to Food Security

There is quite a syndicate of factors dwindling agricultural productivity in Nigeria, from primary to tertiary variables such as Insecurity, systemic macroeconomic shocks, increased cost of input, changing policy and governance landscape, poor road and logistics networks, inadequate storage and warehousing facilities and host of ma other hostile factors. These challenges are mainly summed into the food insecurity trilemma; Availability, Accessibility, and Affordability.

Figure 12 - Yield 100 g/ha for Selected Crops across various Countries



Source: FAO, Author's Computation

Table 1 - Yield 100 g/ha for Selected Crops across various Countries

Country	Maize	Sorghum	Soya Beans	Groundnut	Sesame seed	Sweet potatoes	Rice	Sugar Cane
Nigeria	22326	11941	9636	12600	12329	26589	18563	176102
Angola	11203	2334	10306	6435	2540	98903	12323	394682
Brazil	52012	28015	29515	38487	5375	145477	66380	733926
Cameroon	16923	16216	17007	11111	12963	65148	21890	479884
Ghana	25044	12952	17391	16514		18212	42066	244625
Kenya	14316	5596	9966	11228	4144	136935	64933	747451
Niger	6769	5548		6681	4849	316826	44425	541667
Philippines	32689	59318	14225	13308		67366	41121	584354
Senegal	28414	13442		12255	8875	443179	37838	1140860
South Africa	53758	27726	12410	11175		26553	28878	696238
Uganda	25455	9000	67970	3636	6419	42562	28077	700855
Zambia	24261	7254	12686	7515		33374	15735	1036976

Declining Agricultural Output

Nigeria's agricultural sector, a key pillar of food security, has experienced a downturn since the COVID-19 pandemic. Growth in agriculture has dropped significantly, from an average of 3.2% before 2020 to just 1.8% after the pandemic began. In the first half of 2024, the sector saw only 0.8% growth, revealing a concerning stagnation. This slowdown was evident in 2023 when agriculture contracted due to reduced productivity. The nation continues to face food shortages, further exacerbated by external factors like the Russia-Ukraine conflict, which led to a 23% increase in food prices in 2021 and disrupted vital supply chains in 2022. The key issues include:

- **Limited access to quality inputs:** Most Nigerian farmers rely on rudimentary tools, with only 3% using mechanized equipment. Access to essential inputs like fertilizers and high-quality seeds remains a challenge, and restrictions on urea-based fertilizers worsen the problem. The lack of proper inputs and weak data systems for planning also hinder progress.
- **Financing challenges:** Despite efforts like the NIRSAL program, banks are reluctant to extend credit to farmers. A survey revealed that 35% of farmers struggle to obtain financing, with this figure reaching 59% in the South-South region. The sector faces an enormous \$182 billion funding gap, with no specialized financial products designed to meet its unique needs. Without such tailored financing, productivity remains low, hampering food security.
- **Weak value chains:** Nigeria's agricultural value chains are underdeveloped. Inadequate processing and value-addition facilities mean the country's exports are often rejected in global markets, reducing potential revenue.

Limited Food Availability

Even after production, food availability in Nigeria is hindered by post-harvest inefficiencies. The country loses about 40% of its food output due to poor storage, transportation challenges, and pest problems, which severely limit supply. Other contributing factors include:

- **Environmental challenges:** Inconsistent rainfall, and insufficient irrigation systems. And extreme weather, especially in the Northeast, North-Central, and Southeast regions, continue to curtail agricultural productivity. Significant security improvements have been seen in these regions in recent months, pointing to bumper harvests.
- **Security Issues:** Instability, including, banditry, conflicts between farmers and herders, and inter-communal violence, has forced many farmers off their land. These security threats also complicate the transportation of goods, making it both risky and inefficient.
- **Border Constraints:** Persistent security concerns along Nigeria's borders have severely hampered the agricultural trade, particularly affecting livestock, further burdening already strained supply chains.
- **Inadequate Storage:** Although Nigeria has a silo storage capacity of 1,025,000 metric tons, less than a third of it is currently being utilized, reflecting significant inefficiencies in the food storage system.
- **Supply-Demand Imbalance:** Despite being a global leader in cassava and yam production, Nigeria struggles to meet the local demand for food. Malnutrition, especially in children under five, remains a critical issue. With a population growing at 2.5-3.0% annually, Nigeria's agricultural output, growing at less than 2%, is failing to keep pace with the country's expanding needs.

Food Affordability Issues

The core issue driving food insecurity in Nigeria is the lack of financial capacity among citizens to purchase food, even when available. Economic access remains a significant challenge:

- **Rising Prices and Currency Depreciation:** In January 2024, food inflation surged to 35.41%, up from 33.9% in December 2023. Consequently, the number of food-insecure individuals increased dramatically, from 66.2 million in Q1 2023 to 100million in Q1 2024, with 18.6 million facing severe hunger.
- **Decline in Purchasing Power:** The sharp depreciation of the naira, coupled with rising living costs, has drastically reduced the average Nigerian's purchasing power. With the unemployment rate at 5.0%, and only 12.7% of the population in wage-paying jobs, many households struggle to afford necessities.

2.7.2 Recommendations

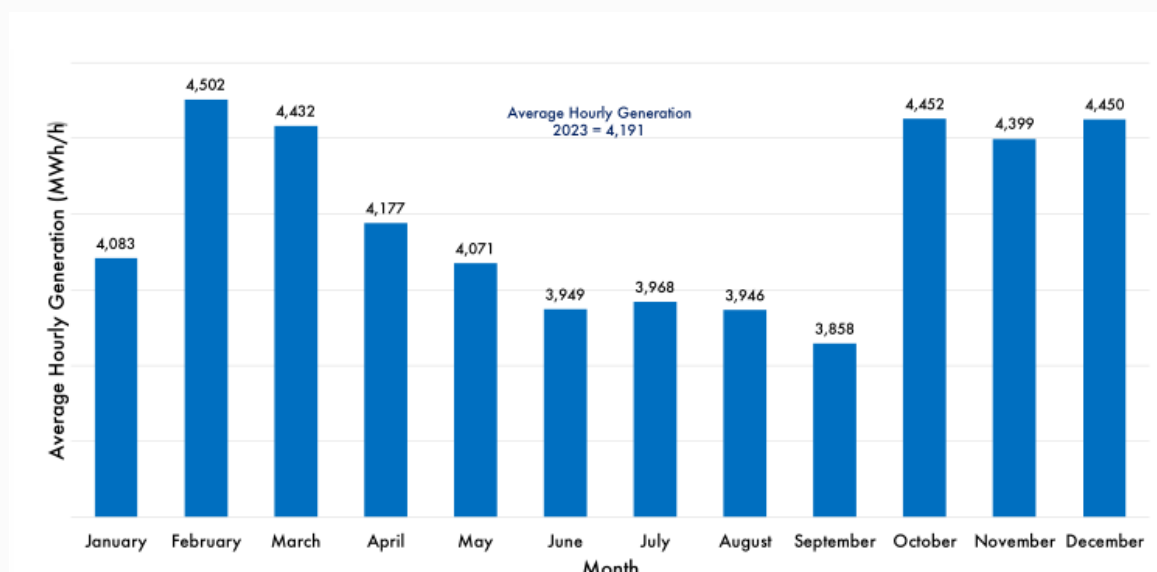
1. **Revitalize Agricultural and Food Institutions:** Strengthen agricultural institutions through collaboration among government, private entities, and development partners to ensure a sustainable food supply and quick crisis response.
2. **Hunger Mitigation Strategy:** Implement a comprehensive hunger relief plan by scaling up food distribution, creating Hunger Roundtables to devise solutions, and importing key agricultural inputs to prevent shortages.
3. **Food Banks Expansion:** Establish state-level task forces to identify food insecurity hotspots and build or expand food banks, ensuring long-term sustainability through innovative financing.
4. **Agricultural Finance Mechanism:** Create a financing system tailored to agriculture, providing affordable loans, improving credit access for farmers, and offering incentives for financial institutions to boost lending.
5. **Food Security Accountability:** Develop a framework to monitor and manage food security, aligning policies with economic goals and setting performance indicators for accountability.
6. **Infrastructure and Mechanization Improvement:** Upgrade agricultural infrastructure (rail, water transport) to reduce food waste, increase mechanization, and improve irrigation systems for year-round farming.



2.8. Energy Sector and Electricity

Energy is at the leading front of the ongoing reforms put on board by the current administration. Some ongoing Key reforms introduced since President Bola Ahmed Tinubu took office in June 2023 include measures to enhance the gas-to-power value chain, widen the electricity market and make it readily to both backward and forward investments off-takers, improve cash flow in electricity distribution, and reduce carbon emissions from gas production.

Figure 13 - Electricity Generation



The energy challenge remains a perennial hard slog bedeviling economic activities. It is a major driver of elevated prices and uncompetitive operating environment of business is the inefficiency in powering the economy. The challenge of providing reliable electricity to households and businesses remains even though Nigeria now generates and transmits a standard 5,050 Megawatts of electricity (an improvement over the 3,500-4,000 Megawatts of previous years). This is despite recent reforms in the power sector that moved power, and electricity matters to the concurrent legislative list and provided a framework for states to establish electricity markets within the states. Besides, the government has embarked on various subsidy reforms that motivated over 200 percent increase in electricity tariff, ramping up the cost of living for households and operating costs for businesses.

Efforts to enhance efficiency in Nigeria's power sector have yielded limited results, as electricity supply remains erratic. Meanwhile, instability in the alternative energy market continues to heighten economic uncertainty, fueled by disruptions in the supply of diesel, petrol, and gas—key resources for transportation, logistics, and power generation. The lingering effects of the Russia-Ukraine war have exacerbated these challenges, leading to fuel shortages and escalating price volatility. Given that over 72% of Nigeria's power plants are gas-fired thermal plants, inconsistent gas supply poses a significant obstacle to electricity generation.

These systemic inefficiencies in the energy and power sectors have severe repercussions for businesses, increasing operational expenses and reducing competitiveness. Energy costs account for about 40% of manufacturers' total production expenses, according to the 21Manufacturer CEOs Confidence Index report. Furthermore, unreliable power supply had reduced the monthly production capacity of approximately 20% of manufacturing firms. The resulting challenges hinder productivity, limit business expansion, degrade the quality of goods and services, deter investment, foster operational uncertainties, and slow the adoption of advanced technologies.

Addressing these issues requires proactive and collaborative reforms aimed at stabilizing the energy sector, enhancing supply reliability, and reducing costs to support businesses and improve economic outcomes for Nigerians. Key barriers in the sector include inadequate infrastructure, policy inconsistencies, and weak institutional frameworks, all of which demand urgent attention.

Notable Impediments to the Nigerian energy sector:

- **Limited Energy Generation:**

- » Capacity Nigeria's energy supply is constrained by several factors. Only 60% of the population has access to electricity, leaving approximately 85 million people without reliable power. In 2024, the country's electricity supply was 5,769.52 GWh, which is far below the estimated need of 32,100 GWh, creating an 80% supply gap. With a total installed power capacity of 13,000 MW, only 35% is operational, leading to frequent blackouts and load shedding. Nigeria's refining capacity.
- » Nigeria's oil refining capacity has changed with the coming on board of Dangote Refinery even as we navigate the many nuances that come with it. The question of supply of crude, pricing, distribution, adequacy of production, market efficiency, and other concerns are presently being addressed but Nigeria stands a chance of not only achieving local self-sufficiency, but a dominance in the whole of Africa. The question of Dangote Refinery's location in a free trade zone is also being analyzed especially with regards to how much Nigeria as a nation stands to gain from its activities in terms of foreign exchange inflow.
- » Infrastructure Challenges in Nigeria's Energy Sector: The energy sector in Nigeria faces significant infrastructure gaps that compound its existing challenges. The electricity infrastructure, encompassing generation facilities, transmission networks, and distribution systems, is characterized by inefficiencies and outdated equipment. Frequent disruptions in the national grid further undermine reliability and erode public trust in the system. Distribution companies also grapple with the inability to modernize their networks, leading to operational inefficiencies such as load rejection.

- **Transmission and Distribution Weaknesses in Nigeria's Power Sector:**

Transmission and Distribution Weaknesses in Nigeria's Power Sector: The inefficiencies in Nigeria's electricity transmission and distribution sectors significantly hinder the growth of electricity consumption. Transmission and distribution systems are plagued by low reliability and efficiency, leading to substantial energy losses at nearly all substations. According to a national load demand study, aging infrastructure, insufficient maintenance, and system overload contribute to average energy losses of approximately 40% across transmission and distribution substations. These losses are projected to increase without major investments in upgrading and modernizing the infrastructure, especially as new power plants boost electricity generation. In addition to these technical challenges, the distribution sector faces severe commercial inefficiencies. Poor billing systems and low collection rates exacerbate revenue losses, while electricity tariffs remain below cost-recovery levels.

Furthermore, the widespread issue of power theft adds another layer of financial strain on the sector, compounding the overall inefficiency and limiting its capacity to support increased electricity demand.

- **Gas Supply Bottlenecks and Their Impact on Power Generation in Nigeria:**

A major constraint to Nigeria's electricity generation is the bottleneck in gas supply to power plants, which heavily depend on natural gas. Over 70% of the country's power generation capacity relies on thermal plants, but these operate significantly below capacity due to persistent gas shortages. Despite abundant associated gas from oil production, nearly 60% is flared, leaving only about 300 million standard cubic feet (mmscf) per day for domestic consumption—far short of the estimated demand of 600 mmscf per day. Recent developments have further exacerbated this issue, with gas suppliers increasingly reluctant to deliver gas to generation companies (GENCOs) due to mounting payment defaults. The liquidity crisis faced by GENCOs stems from several interconnected factors:

- » Revenue Shortfalls from Discos: Distribution companies (DISCOs) underperform in revenue collection, with high levels of energy theft, poor billing systems, and low tariff recoveries. This limits their ability to pay GENCOs, creating a cascading effect on gas suppliers.
- » Exchange Rate Depreciation: Gas prices in Nigeria are denominated in international currencies, primarily U.S. dollars. The recent naira depreciation has significantly increased the cost of gas for GENCOs, further straining their financial capacity.
- » Liquidity Constraints: GENCOs face persistent liquidity issues, which prevent them from meeting their obligations to gas suppliers and hinder long-term contractual agreements necessary to ensure a steady gas supply.

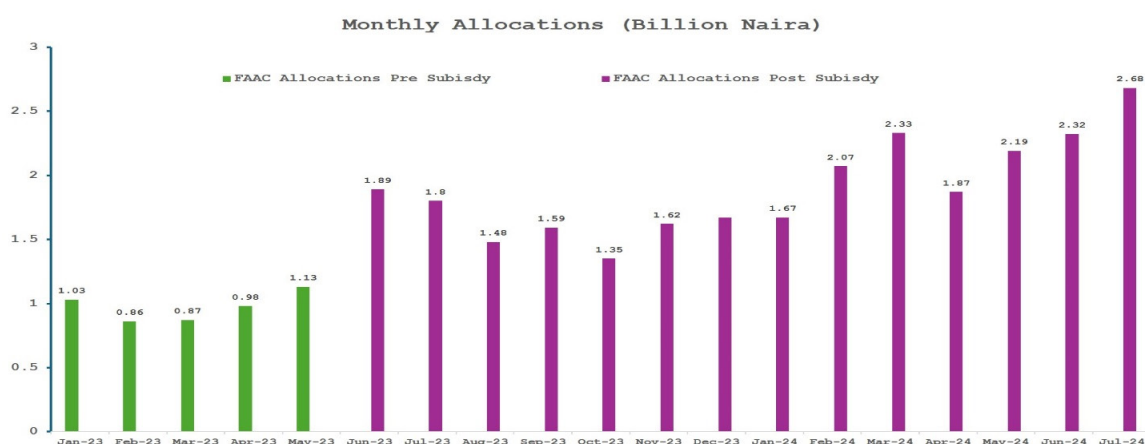
- **Vulnerability to International Oil Price and Currency Fluctuations:**

Nigeria's energy sector is significantly influenced by the volatility of global oil markets and exchange rates. The international pricing of crude oil, which lies outside the control of the Nigerian government, exposes the sector to frequent and unpredictable cost variations. Additionally, the country's dependence on foreign exchange for importing refined petroleum products, due to inadequate domestic refining capacity, amplifies its susceptibility. Consequently, shifts in global oil prices and currency values directly escalate the costs associated with energy production, transportation, and electricity generation, creating financial pressure across the value chain.

2.9. Fiscal Sector Developments

The government has maintained strong revenue growth due to structural reforms, with allocations to the Federal Account Allocation Committee (FAAC) rising. By June 2024, total gross revenue reached N2.48 trillion, a substantial 118.7% rise from N1.13 trillion in 2023. Additionally, FAAC revenues for the first half of 2024 increased to N13.27 trillion, up from N6.31 trillion in the corresponding period of 2023. This was largely driven by higher oil revenue, boosted by the removal of subsidies, increased crude oil production, and a depreciated exchange rate.

Figure 14 - Monthly FAAC Allocation



The government has maintained strong revenue growth due to structural reforms, with allocations to the Federal Account Allocation Committee (FAAC) rising. By June 2024, total gross revenue reached N2.48 trillion, a substantial 118.7% rise from N1.13 trillion in 2023. Additionally, FAAC revenues for the first half of 2024 increased to N13.27 trillion, up from N6.31 trillion in the corresponding period of 2023. This was largely driven by higher oil revenue, boosted by the removal of subsidies, increased crude oil production, and exchange rate gains.

Figure 15 - Monthly FAAC Allocation (b)

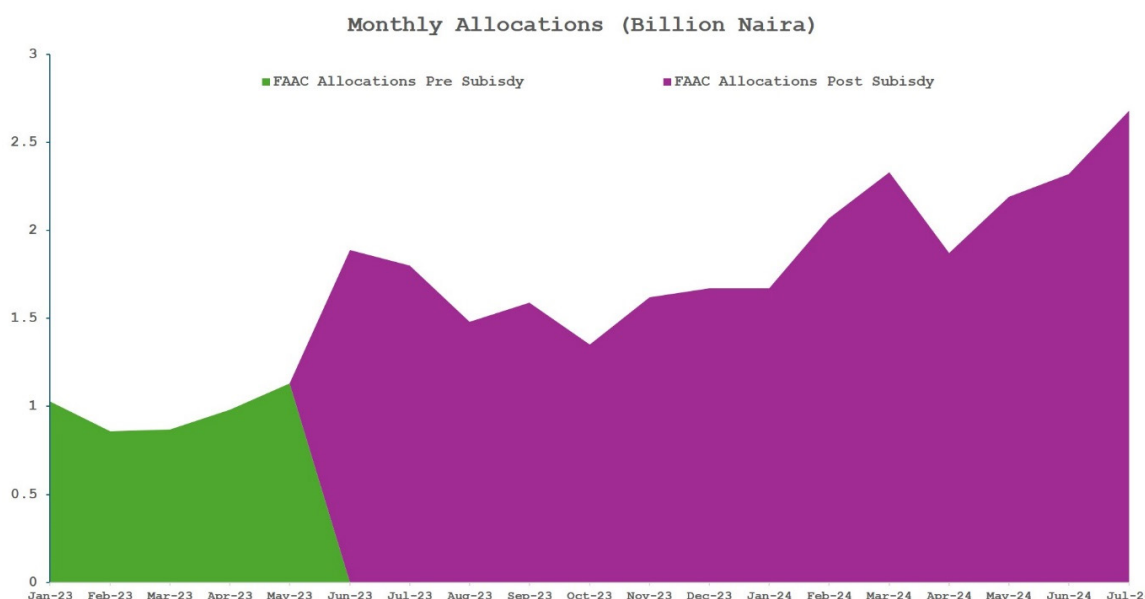
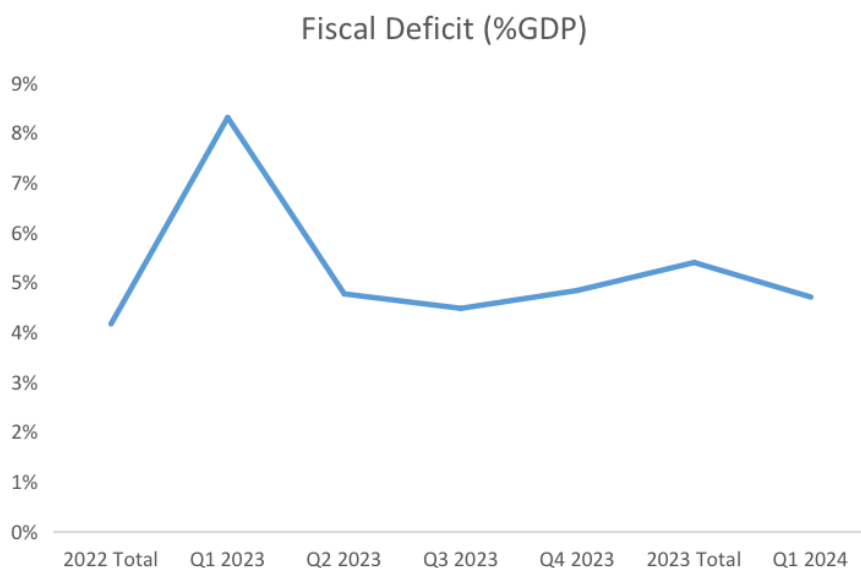


Figure 16 - Fiscal Deficit



Source: CBN, OAGF

The DMO explained that the spike in public debt was primarily due to debt revaluation in line with exchange rate depreciation and high interest rates during the quarter. New public borrowing for the quarter amounted to N7.71 trillion, with N2.81 trillion in fresh domestic borrowing to finance the budget and N4.90 trillion used to securitize a portion of the N7.3 trillion Ways & Means advances.

The debt-to-GDP ratio increased from 48.8% in the fourth quarter of 2023 to 52.9% in the first quarter of 2024. Debt servicing costs also rose, reaching N2.48 trillion in the first quarter of 2024, compared to N1.24 trillion in the same period in 2023, though slightly lower than the N2.85 trillion recorded in the last quarter of 2023.

Meanwhile, Nigeria has successfully launched its inaugural domestic dollar-denominated bond, attracting over \$900 million in subscriptions. This five-year bond was issued at par with a 9.75% annual coupon, achieving an impressive 180% subscription rate. The significant investor interest underscores strong domestic confidence in Nigeria's economic growth prospects and highlights the strategic role of the Africa Finance Corporation (AFC) in enhancing the domestic capital markets. The proceeds from this bond issuance will be directed toward critical infrastructure projects and development programs aimed at fostering Nigeria's economic growth.

2.9.1 Monetary and Financial Developments

Table 2 - Real Interest rate Evolution and Bond Yield across some AEs and EMDEs

Country	Nominal Interest Rate	Inflation	Real Interest Rate	Yield
Brazil	11.25	4.76	6.49	12.81%
Egypt	27.25	26.5	0.75	25.87%
Ghana	27	22.1	4.9	29.85%
Kenya	12	2.7	9.3	16.4%
South Africa	7.75	2.8	4.95	9.23%
Saudi Arabia	5.25	1.9	3.35	4.69%
Nigeria	27.5	33.88	-6.38	21.26%
Norway	4.5	2.6	1.9	3.59%
United kingdom	4.75	2.3	2.45	4.36%
United States	4.75	2.6	2.15	4.31%

Source: Trading Economics, Author's Computation

Real interest rates, calculated as nominal rates adjusted for inflation, provide a lens into a country's monetary policy stance, economic stability, and attractiveness for investment. The table 2 above highlights notable divergences in real rates across nations, reflecting differing economic conditions and policy objectives.

Nigeria's macroeconomic environment is characterized by a challenging dynamic of high inflation and policy constraints. The country's real interest rate, currently at -6.38%, highlights a severe erosion of purchasing power, making it the only negative real rate among its peers in the table. This reflects the significant inflationary pressures (33.88%), which outpace the nominal interest rate of 27.5%. Such conditions discourage domestic savings and foreign investments, complicating the Central Bank of Nigeria's (CBN) efforts to stabilize the economy.

Compared to peers like Kenya and South Africa, which maintain positive real interest rates of 9.3% and 4.95%, respectively, Nigeria's policy measures appear less effective in curbing inflation. The negative real rate signals the need for structural reforms beyond monetary tightening. While the high nominal rate indicates an aggressive stance against inflation, it may inadvertently stifle economic activity and increase the debt servicing burden.

The Central Bank of Nigeria (CBN) maintained a restrictive monetary policy stance over the last year. Upon taking over the mantle, the new CBN management pledged to return to an orthodox approach, favoring Inflation Targeting over other alternative frameworks, such as Exchange Rate targeting, Monetary targeting, Interest Rate targeting, etc. Cumulatively, to counter the inflationary trend, the CBN hiked the Monetary Policy Rate (MPR) by 875bps from 18.75% to 27.50%.

Table 3 - Monetary Policy Developments

S/N	Policy Change Δ						
		1st Meeting	2nd Meeting	3rd Meeting	4th Meeting	5th Meeting	6th Meeting
1	Monetary Policy Rate (MPR)	Raised the MPR by 400 basis points from 18.75% to 22.75%	Raised the MPR by 200 basis points from 22.75% to 24.75	Raised the MPR by 150 basis points from 24.75% to 26.25%.	Raise the MPR by 50 basis points to 26.75 percent from 26.25 percent.	Raise the MPR by 50 basis points from 26.75% to 27.25%	Raise the MPR by 25 basis points from 27.25% to 27.50%
2	Asymmetric Corridor	The asymmetric corridor around the MPR adjusted to +100/-700 from +100/-300 basis points.	Reversed the asymmetric corridor to +100/-300.	Retained the asymmetric corridor at +100/-300	Adjust the asymmetric corridor around the MPR to +500/-100 from +100/-300 basis points.	Retains the asymmetric corridor around the MPR to +500/-100 from +100/-300 basis points	Retains the asymmetric corridor around the MPR to +500/-100 from +100/-300 basis points.
3	Cash Reserve Ratio (CRR)	Raised the CRR of commercial banks from 32.5% to 45.0%.	Raised the CRR of merchant banks from 10% to 14%.	Retained the CRR of commercial banks at 45% and merchant banks at 14%.	Retain the Cash Reserve Ratio of Deposit Money Banks at 45.00 percent and Merchant Banks at 14 percent.	Raise CRR by 500 basis points from 45% to 50% for Deposit Money Banks (DMBs) and 14% to 16% for Merchant Banks.	Raise CRR by 500 basis points from 45% to 50% for Deposit Money Banks (DMBs) and 14% to 16% for Merchant Banks.
4	Liquidity Ratio	Retained the Liquidity Ratio at 30%	Retained the Liquidity Ratio at 30%	Retained the Liquidity Ratio at 30%	Retain the Liquidity Ratio at 30.00 percent.	Retains the Liquidity Ratio (LR) at 30%	Retains the Liquidity Ratio (LR) at 30%

Some of the milestones achieved by the Central Bank Management include the Unification of Exchange Rates, as the rate converged, the Naira experienced relative stability. The unification of the exchange rate refers to a monetary policy action where a country with multiple exchange rates for its currency consolidates them into a single, unified rate. This exercise is aimed at creating transparency, improving efficiency, and eliminating market distortions caused by having parallel or multiple exchange rates. In Nigeria's case, the unification of the exchange rate has been a critical policy discussion due to the presence of both official (central bank-controlled) and unofficial (parallel market) rates, which have led to significant economic challenges.

A Retrospective account of the exchange rate market in Nigeria entails

- For several years, Nigeria operated multiple exchange rate windows, including the official rate controlled by the Central Bank of Nigeria (CBN), the Importers and Exporters (I&E) window, and the parallel market rate. These rates often diverged significantly.
- The disparity between the official and parallel market rates created arbitrage opportunities, distorting trade, and investment decisions and reducing transparency in the economy.

In mid-2023, the Nigerian government under President Bola Tinubu initiated a move to unify these exchange rates to enhance market efficiency, attract foreign investment, and reduce speculative currency trading. This development is with the view in mind;

- **Eliminate Arbitrage:** The existence of multiple exchange rates allowed for arbitrage, where people took advantage of the differences between official and parallel rates, distorting economic activities and reducing the effectiveness of monetary policy.
- **Attract Foreign Investment:** A unified exchange rate creates a more transparent and predictable environment for foreign investors, making it easier to assess risk and returns on investment.
- **Boost Foreign Reserves:** Unification is expected to help stabilize the currency market, leading to increased foreign exchange inflows, which can bolster the country's foreign reserves.
- **Enhance Market Efficiency:** A single exchange rate improves the allocation of foreign exchange in the economy, ensuring that it goes to the most productive sectors.
- **Restore Confidence:** Exchange rate unification can restore confidence in the local currency, the Naira, and improve credibility with international investors and development partners.

As the Central Bank Wore the hat of inflation hawks, some of the additional remarkable feats achieved by the CBN include clearing the forex backlog of \$7 billion and adopting a fierce stand against advancing the Ways and Means overdraft facility.

The capital market improved, driven by increased demand for Nigerian Treasury Bills (NTBs) and Federal Government bonds. The Nigerian Exchange (NGX) saw a positive performance, buoyed by strong corporate earnings results in Q4 2023 and 2023 as a whole.

The banking sector remained resilient, with financial soundness indicators mostly within regulatory thresholds. Investor appetite for domestic securities increased, with higher subscriptions for NTBs and FGN bonds. Capital market performance improved due to positive corporate earnings results.

2.9.2 External Sector Developments

Figure 17 - Nigeria's Foreign Trade



Source: NBS, Authors Computation

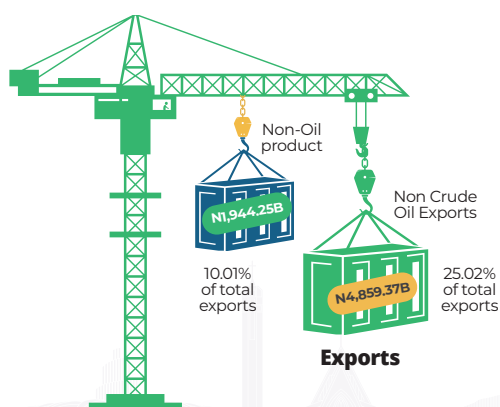
Nigeria is relatively open to trade, which accounts for 26% of its GDP (World Bank, latest data available). The objective of Nigeria's trade policy is to promote and diversify its exports by reinforcing national competitiveness and encouraging liberalization through the reduction of subsidies. The country mainly exports petroleum oils and petroleum gas (mineral products account for 90% of total exports), and boats (3.4%); while imports are led by mineral products (40%), machinery (16.9%), chemical products (8.6%), and vehicles (6.5% - data National Bureau of Statistics 2022).

Nigeria's main export partners are India (12.6% of total exports), Spain (12%), the Netherlands (9.6%), the U.S. (6.8%), and France (5.8%). Its main suppliers are China (22.7% of total imports), the Netherlands (10.4%), India (7.9%), the United States (5.6%), and France (2.6% - data NBS 2022). Nigeria is a member of the World Trade Organization (WTO) and has signed several regional and bilateral trade agreements. The country is a member of the Economic Community of West African States (ECOWAS) and has signed the African Continental Free Trade Area (AfCFTA) agreement, which aims to create a single market for goods and services among African countries. The Nigerian government has implemented various measures to promote exports, such as the Export Expansion Grant (EEG) and the Nigerian Export Supervision Scheme (NESS).

These measures aim to encourage non-oil exports, promote value addition, and increase competitiveness. Lingering barriers to trade and investment persist in the country, mainly due to long bureaucratic delays. Nigeria's trade balance is structurally positive, but it occasionally turns negative when oil prices and production drop. According to WTO data, in 2022, exports of goods amounted to USD 63 billion, whereas imports reached USD 60.3 billion (+34.5% and +16.3% y-o-y, respectively - WTO). Exports of services stood at USD 4.8 billion, while imports totaled USD 18.8 billion (WTO). According to preliminary figures from CBS, in 2023, total trade amounted to NGN 71,880.01 billion, with imports totaling N35,917.62 billion and exports reaching NGN 35,962.39 billion (+34.2% and +40.3% y-o-y, respectively).

Nigeria's total merchandise trade in Q2 2024 amounted to N31,892.46 billion, reflecting a 3.76% decline compared to the previous quarter, but a significant increase of 150.39% over the same period in 2023. In this quarter, exports made up 60.89% of the total trade, valued at N19,418.93 billion—a slight increase of 1.31% from Q1 2024 (N19,167.36 billion) and a substantial 201.76% growth compared to Q2 2023 (N6,435.13 billion).

Crude oil continued to dominate Nigeria's export sector, with crude oil exports valued at N14,559.56 billion, representing 74.98% of total exports in Q2 2024. Non-crude oil exports amounted to N4,859.37 billion, making up 25.02% of total exports, of which non-oil products contributed N1,944.25 billion, accounting for 10.01% of total exports.

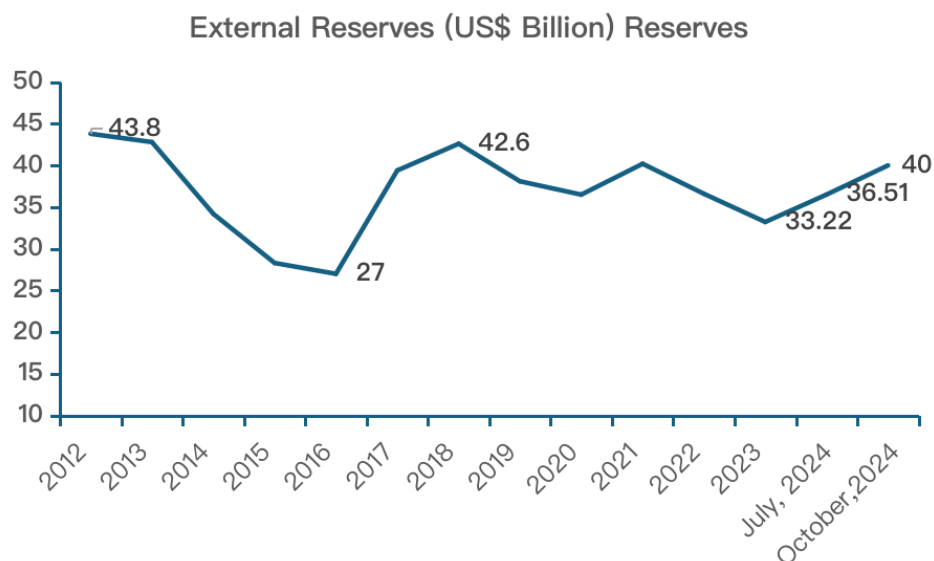


Crude Oil Valued at

N14,559.56 Billion

**74.98%
Q2 2024**

Figure 18 - External Reserves (US\$ Billion) Reserves



Source: CBN

The External reserves grew and remained above the benchmark of 3 months of import cover. External reserves stood at \$40.12 billion, sufficient to cover 14 months of imports for goods and services or 18 months for only goods import. Meanwhile, the Central Bank of Nigeria (CBN) has expressed optimism about achieving its target of \$1 billion in remittances monthly as it currently records remittances of \$650 million monthly. However, the naira depreciated to N1,600.72 per US dollar, a sharp decline from N841.15 in Q4 2023 following the unification exercise that has eliminated currency speculation, terminating implicit and explicit subsidies and improved transparency via matching orders of willing buyer- willing seller model.



3.0. Key Sectors to Drive Economic Growth in 2025

Oil and Gas

Nigeria's oil and gas sector, while shrinking in relative importance to GDP, will remain a significant revenue generator in 2025. The removal of fuel subsidies, which occurred in mid-2023, will free up over #3 trillion annually for investment in critical infrastructure and social programs. The functioning Dangote Refinery is expected to make Nigeria self-sufficient in refined petroleum products by 2025, saving billions of dollars in foreign exchange spent on imports.

Additionally, Nigeria's natural gas reserves, estimated at 209 trillion cubic feet, present a major growth opportunity. The Nigeria-Morocco gas pipeline, expected to begin construction in 2025, will open new export markets for Nigerian gas across West Africa and Europe. The government's "Decade of Gas" initiative aims to transform Nigeria into a gas-powered economy by increasing domestic gas utilization, particularly for power generation, transport, and industrial use.

Agriculture

Nigeria's agricultural sector, which employs more than one-third of the population, is set for sustained growth in 2025. The federal government, in collaboration with private partners, aims to deploy 10,000 tractors by 2025, significantly increasing productivity, particularly in key crops such as maize, rice, and cassava.

Telecommunications and ICT

Nigeria's telecommunications and ICT sector is one of the fastest-growing in Africa, contributing approximately 18.9% to GDP in 2024. With the rollout of 5G networks and the expansion of internet penetration, the sector is expected to grow by 8-10% in 2025.

- **Fintech:** Nigeria's fintech ecosystem, which attracted over \$2 billion in investments in 2024, will continue to flourish in 2025, as digital financial services such as mobile banking, digital lending, and e-commerce expand.
- **Tech Startups:** Nigeria's technology startup ecosystem is projected to continue attracting significant foreign investment, surpassing \$3 billion by 2025. This sector will be pivotal in creating high-paying jobs and driving innovation.

Manufacturing

Nigeria's manufacturing sector has seen modest growth in recent years, contributing about 12% to GDP in 2024. The government's focus on backward integration and local content policies has supported growth in key industries such as cement, steel, and automobiles. By 2025, manufacturing is projected to grow by 3.8%, driven by:

- I. **Automotive:** The local automotive assembly industry will expand as more global manufacturers establish assembly plants in Nigeria, following the government's automotive policy. Electric vehicle production is also expected to increase, with incentives for manufacturers.
- II. **Pharmaceuticals:** The pandemic highlighted the need for local production of pharmaceuticals, leading to investments in vaccine manufacturing and healthcare products. By 2025, Nigeria is expected to produce 50% of its pharmaceutical needs locally, reducing reliance on imports.

- III. **Renewable Energy:** As Nigeria seeks to diversify its energy mix and meet its 2060 net-zero emissions target, renewable energy will play an increasingly significant role. By 2025, renewable energy is expected to contribute about 10% to Nigeria's energy mix, up from 5% in 2024. Key initiatives include:
- IV. **Solar Power:** The Nigeria Electrification Project (NEP) aims to provide off-grid solar solutions to over 5 million households by 2025. Solar mini-grids and rooftop solar installations will provide reliable electricity to rural communities and small businesses (This should be revisited and extended with actions taken).
- V. **Hydropower:** The completion of the Zungeru Hydroelectric Plant and other small hydro projects will increase hydropower's contribution to the national grid, further diversifying Nigeria's energy sources.

3.1 Accelerating Nigeria's Economic Growth

Nigeria has been growing at a modest pace, as currently available data shows Nigeria's Gross Domestic Product (GDP) grew by 3.46% (year-on-year) in real terms in Q3 2024, primarily due to improved services and oil & gas sector performances. This growth rate is higher than the 2.54% recorded in the third quarter of 2023 and higher than the first and second quarters of 2024 growth of 2.98% and 3.19% respectively. Though the quarterly increase looks promising, these numbers and the projected growth rate of 3.5% still fall short of the country's potential. Nigeria must rethink its economic strategy to unlock faster growth, leverage sectoral strengths, address structural weaknesses, and capitalize on the global economy.

Priority-Impact Matrix for Nigeria's Low hanging Economic Drivers

Table 4 - Priority-Impact Matrix for Nigeria's Low hanging Economic Drivers

Sector/Activity	Ease of Implementation (Priority)	Economic and Social Impact	Opportunities	Rationale
Agriculture and Agro-Processing	High	High	Expansion of agribusiness value chains, reduction in post-harvest losses, job creation, and export potential in crops like rice, cassava, and cocoa.	Leverages Nigeria's vast arable land and natural resources ensures food security, increases value addition, and enhances export revenues.
Renewable Energy (Solar)	High	Moderate	We are expanding access to clean energy in rural areas, supporting small businesses, and reducing dependence on fossil fuels.	Expands energy access in underserved areas, supports MSMEs, and contributes to environmental sustainability with manageable investments.

Sector/Activity	Ease of Implementation (Priority)	Economic and Social Impact	Opportunities	Rationale
Technology (Fintech/Blockchain)	High	High	Growing mobile money, blockchain, and digital payment adoption; potential to deepen financial inclusion and facilitate e-commerce growth.	Taps into the tech-savvy youth population and growing digital market with low barriers to entry and scalability.
Creative Economy (Entertainment)	High	High	Global demand for Nigerian music, film, and arts; potential for increased cultural exports and digital streaming revenues.	Builds on Nigeria's global dominance in music and film, creates jobs for youth, and drives cultural exports.
Manufacturing and Agro-Industrial Processing	Moderate	High	Agro-industrial manufacturing (e.g., palm oil processing, dairy production). Light manufacturing (e.g., textiles, footwear, electronics assembly). Development of Special Economic Zones (SEZs) to attract investment.	Nigeria's large domestic market and access to regional markets (via AfCFTA) create opportunities for industrialization, import substitution, and export enhancement.
Tourism (Domestic)	Moderate	Moderate	Boosts local economies through hospitality and cultural tourism; opportunities in eco-tourism and historical sites.	Targets domestic travelers; requires investment in transport and hospitality infrastructure to generate immediate local economic activity.
Mining (Solid Minerals)	Moderate	High	Significant export potential for gold, lithium, and other minerals critical for global industries like EV batteries.	High export revenue potential but constrained by infrastructure gaps, policy challenges, and high capital requirements.
Transport/Logistics	Moderate	High	Improved connectivity for agricultural hubs, enabling faster goods movement and reduced post-harvest losses.	Critical for reducing agricultural waste and linking producers to markets; requires significant road and rail investment.

Sector/Activity	Ease of Implementation (Priority)	Economic and Social Impact	Opportunities	Rationale
Food Processing	High	High	Potential to boost local industries and increase Nigeria's food export capacity, especially processed foods for regional markets.	Reduces reliance on imported processed food, creates jobs, and enhances local industries tied to agriculture.
Cash Crop Exports	Moderate	High	Strong demand for cocoa, sesame, and cashew in global markets; potential to generate foreign exchange earnings.	Focused on crops like cocoa, cashew, and sesame; potential for foreign exchange earnings but logistics bottlenecks persist.
Health and Pharmaceuticals	Moderate	High	Local production of essential drugs and vaccines. Investment in diagnostic centers and telemedicine platforms. Development of affordable health insurance schemes for underserved populations.	Addresses Nigeria's large population and high disease burden, reduces medical tourism, improves productivity, and enhances public well-being.

The Priority-Impact Matrix for Nigeria's low-hanging economic drivers delineates areas with considerable potential to stimulate economic growth and promote social development. It is preferable to prioritize high-priority, high-impact sectors initially to achieve prompt and tangible results. Subsequently, attention should be directed toward moderate-priority, high-impact sectors to secure sustainable long-term growth. Furthermore, it is essential to leverage government incentives, public-private partnerships (PPPs), and digital platforms to mitigate obstacles faced by start-ups and small and medium-sized enterprises (SMEs) within these sectors.

High Priority Sectors

- **Agriculture and Agro-Processing** emerge as a top priority due to their potential to ensure food security, create jobs, and enhance export revenues. By reducing post-harvest losses and scaling value addition, this sector can significantly improve Nigeria's trade balance.
- **Technology (Fintech)** offers transformative growth through financial inclusion and digital innovation. With Nigeria's youth population driving adoption, fintech can deepen e-commerce and empower small businesses.
- **Creative Economy** leverages Nigeria's global dominance in music and film, offering substantial job creation opportunities while increasing cultural exports.

Moderate Priority Sectors

- **Manufacturing and Agro-Industrial Processing** provide opportunities for import substitution and industrialization through Special Economic Zones and regional trade under AfCFTA.
- **Health and Pharmaceuticals** can reduce dependence on imports while meeting domestic demand for essential drugs and healthcare services, improving public health and productivity.
- **Mining (Solid Minerals)** holds immense potential for export revenue, especially in gold and lithium. However, the capital intensity and infrastructural challenges lower its immediate feasibility.
- **Transport and Logistics** are critical for reducing agricultural waste and linking producers to markets. Although impactful, it requires significant upfront investment in infrastructure.

Sectoral Growth Analysis

Table 5 - Sectoral GDP - Growth Analysis

GDP Growth Rate by Sector (2024 estimates):	
Agriculture:	1.41%
Manufacturing	1.91%
Construction	1.05%
Services	3.79%
Mining and Quarrying	7.79%
Trade	0.70%
Oil and Gas	10.15%
Finance and Insurance	28.79%
Information and Communication:	4.44%
Non-Oil – Collectively	2.80%

Table 6 - Sectoral GDP Contribution Analysis

GDP Growth Rate by Sector (2024 estimates):	
Agriculture:	22.61%
Manufacturing	12.68%
Construction	3.17%
Services	58.76%
Mining and Quarrying	5.60%
Trade	16.39%
Oil and Gas	5.70%
Finance and Insurance	6.57%
Information and Communication:	19.78%
Non-Oil – Collectively	94.30%

Sector	Details
Agriculture	GDP Contribution: 25.61% Growth Rate: 1.41% Challenges: Inadequate funding, supply chain issues, technology deficiency, smallholder domination, land clearing, seasonality, post-harvest losses Opportunities: Mechanization, irrigation, value-added processing, expansion of arable land from 35% to 65%, AfCTA market, large Nigerian population, commodity exchanges, investment in storage facilities and cold chains Growth Potential: 5-10% Sub-sectors: Crop production (cassava, maize, rice, sesame, cashew, yams, cassava, soybean), Livestock production (poultry, cattle), Fisheries
Manufacturing	GDP Contribution: 12.68% Growth Rate: 1.91% Challenges: Infrastructure deficits, high production costs, FX volatility, weak Naira (bad for imports), global competition, skilled personnel Opportunities: Investment in textiles, food processing, pharmaceuticals, export potentials, AfCFTA, weak Naira (good for exports) Growth Potential: 8-10% Sub-sectors: Textiles (cotton, wool), Food processing (flour, sugar), Pharmaceuticals, Finished goods, Tertiary goods manufacture

Sector	Details
Construction	GDP Contribution: 3.17% Growth Rate: 1.05% Challenges: Finance, regulatory bottlenecks, local skills availability, weak Naira, availability of local inputs (like steel) Opportunities: Infrastructure development (roads, rail, airports), growing population, standards and regulation, vast space for development and expansion Growth Potential: 10-12% Sub-sectors: Building construction, Civil engineering, Real estate development, Infrastructural development
Services	GDP Contribution: 58.76% Growth Rate: 3.79% Challenges: Low levels of local innovation, bureaucracy, lack of local regulation and standards, brain drain Opportunities: IT, tourism, healthcare, financial services, remote work, outsourcing, social services, teaching, diaspora remittances Growth Potential: 6-8% Sub-sectors: Financial services (banking, insurance), IT (software development, data analytics), Tourism (hospitality, travel), Outsourcing, Remote work
Mining and Quarrying	GDP Contribution: 5.60% Growth Rate: 7.79% Challenges: Regulatory uncertainty, environmental concerns, climate change Opportunities: Diversification into solid minerals (gold, iron ore), renewable energy (lithium), technology (columbite and tantalite), oil and gas sector (Barite), climate finance, climate-sensitive benefits, incursion of large foreign entities Growth Potential: 12-15% Sub-sectors: Solid minerals, Oil and gas, Climate change opportunities, Renewable energy
Oil and Gas	GDP Contribution: 5.70% Growth Rate: 10.15% Challenges: Price volatility, production constraints, oil theft, low investments, gas flaring and neglect Opportunities: Increased production, refining, petrochemicals, gas potentials Growth Potential: 15-20% Sub-sectors: Upstream (exploration, production), Downstream (refining, petrochemicals), Midstream (storage, logistics, distribution)
Information and Communication	GDP Contribution: 19.78% Growth Rate: 4.44% Challenges: Infrastructure constraints, regulatory issues, purchasing power limitations, constrained industry Opportunities: Broadband expansion, mobile money, e-commerce, growing population, remote work and global perspectives Growth Potential: 7-15% Sub-sectors: Mobile networks, Fixed-line services, Internet services

3.2. Nigeria's Swot Analysis

Challenges/Threats

1. Dependence on oil exports – Pushback from climate issues
2. Infrastructural deficits.
3. Institutional bureaucracy, inefficiencies and corrupt tendencies
4. Limited economic diversification.
5. High inflation and negative interest rates
6. Security concerns.
7. Brain drain (emigration of skilled professionals).
8. Communication of policies and mass mobilization

Opportunities:

1. Diversification into value-added agriculture and manufacturing.
2. AfCFTA and global trade.
3. Investment in human capital (education, healthcare).
4. Technology-driven innovation (ICT, fintech).
5. Natural resources (solid minerals, oil and gas).
6. Climate Finance and targeted climate relevance
7. Tourism development.
8. Marine and blue economy
9. Huge potential for raising public revenue through fiscal reforms

Government Initiatives:

1. Accelerated Stabilization and Advancement Plan
2. Updated Economic Recovery and Growth Plan.
3. Accelerated Agriculture Promotion Policy.
4. Accelerated National Industrial Revolution Plan.
5. More Strategic Infrastructure development.
6. Ease of Doing Business reforms.

3.3. Key Considerations For Growing GDP

Measurement

The measurement of an economy is very principal to its likely achievements. This means that data should be well-captured and that the bean counters who track economic development need to know where and what to look for. These 'accountants' have to be ready to follow the minds and eyes of the government – to understand where efforts are being spent for economic growth. At the same time, we need to have a keen eye for the activities of the private sector, to see their activities in real-time, and to log their achievements. An economy can grow in some areas and for this to escape the attention of those responsible. Nigeria could ill-afford such omissions at this critical stage. This is because no nation grows on depressing data. One of the admonitions of this report is for us to ensure that no growth goes uncaptured, hence the sectorial focus.

Target Setting

The President Tinubu administration is perhaps the first in recent times to tweak its key team after less than 18 months, setting the tone to everyone that it is businesslike. This also comes with new targets set for ministers who are in charge of different sectors.

This is important because without targets, there will be little achievement. Targets must be measurable and trackable. If ministers therefore commit to targets and drive their constituencies, we shall all find it easier to collate the growth of different sectors based on the achievement of targets and begin to leap forward.

Rebasing

Nigeria last rebased her economy in the year 2014. This was when the economy grew to about \$520 billion – a remarkable achievement. The global standard for economies that are unable to rebase in real time due to data deficiencies, is to rebase every 5 years. The benefits include a recalibration of several sectors within the economy, to capture new developments, and consider new sectors that may have made their debut. An economy like Nigeria's is seen as being quite dynamic and because of our people's entrepreneurial spirit, self-propelled. Different new developments have occurred in Nigeria since 2014, necessitating a rebasing. These include the growing role of e-commerce (with COVID-19 being a major push), Fintechs and neobanks, other innovations in the banking and finance sector, remote work, innovations in agriculture and other sector, and the activities of local producers of goods and services, to name a few. Whereas Nigeria's GDP as a result of currency depreciation had dropped to about \$258 billion, with rebasing we could track back to about \$350 billion, thus giving us another opportunity to push towards \$1 trillion in the coming years.

Restructuring

One of the intended and unintended consequences of current reforms is a wholesale restructuring of the economy. Whereas the reforms are painful and are indeed an attempt at a hard reset, the gains will surely manifest in a fairly short period. Critics have pointed to the fact that Nigeria's service sector dominance of the GDP is rather premature, calling for a rethink of the primary and secondary segments of the economy – especially secondary. Nigeria should certainly not remain a primary (crops and crude oil) exporting country. At least the time is ripe to move to the next level and we are seeing that already. In September, Nigeria started her first major foray into the African Continental Free Trade Agreement (AfCFTA), by exporting to 5 countries – Algeria, Cameroon, Kenya, Egypt, and Uganda. More surprisingly, Nigerian companies exported value-added products in the main – Ceramics, Shoes and Bags, Cosmetics, and Smart Cards, with a little processed Shea Butter. This may be an indication that we are moving on the right track. More of this should be encouraged as we see a turnaround in our industrial sector. Facts on the ground show that we may not be able to escape the organic development of our economy from the ground up.



4.0. Economic Outlook

4.0.1 Global Outlook

The global economic outlook for 2025 presents a nuanced landscape characterized by a moderation in growth, easing inflationary pressures, and persistent geopolitical uncertainties. Global growth is forecasted to remain resilient at 3.2%, reflecting economies' ability to adapt to shocks and the anticipated easing of monetary policy as inflation moderates. However, this growth will vary regionally, with advanced economies (AEs) expected to see a slight acceleration to 1.7% in 2024, supported by strong consumer demand, employment stability, rising real incomes, and asset prices.

In contrast, emerging markets and developing economies (EMDEs) face a more mixed outlook. Growth is expected to moderate to 4.2% in 2024 and 2025 from 4.3% in 2023, reflecting vulnerabilities to inflation and debt challenges, alongside exposure to global commodity price volatility. Nevertheless, regions like Sub-Saharan Africa and the Middle East and Central Asia are projected to achieve higher growth compared to other EMDEs, underpinned by improving resource revenues and structural reforms.

Inflationary pressures are set to ease globally in 2024, declining to 5.9% from 6.8% in 2023. This decline is attributed to the impact of tighter monetary policies and expected moderation in international commodity prices. Advanced economies are likely to see inflation converge toward target levels due to effective policy interventions and the resolution of supply-side challenges. However, in EMDEs, structural constraints and greater sensitivity to commodity price fluctuations could slow disinflation efforts.

Key downside risks to the global outlook include the potential weakening of labor demand, ongoing geopolitical tensions, and uncertainties in global supply chains. Policymakers worldwide must navigate these challenges, balancing efforts to sustain growth while maintaining price stability. For EMDEs, addressing structural inefficiencies and building economic resilience will be critical to sustaining momentum in a rapidly evolving global economic environment.

Geopolitical risks and high debt levels will continue to challenge many economies, particularly in **emerging markets**. Technological advancements and the transition to clean energy are expected to accelerate, but the pace will vary across regions.

Global economic activity is expected to moderate soon, with sustained but slower growth anticipated in both advanced and emerging economies. The moderation in inflation, combined with geopolitical tensions, will likely shape future growth patterns.

4.0.2 Domestic Outlook

The domestic economic outlook for Nigeria in 2025 is shaped by opportunities for resilience and growth amid evolving global and local dynamics. The recent shift towards monetary easing by advanced economies provides a unique window for Nigeria to benefit from increased capital flows and reduced debt servicing costs, easing fiscal constraints. This global development complements the country's ongoing structural reforms, which are designed to invigorate the non-oil sector, enhance revenue mobilization, and attract investments.

Nigeria's growth momentum is underpinned by a projected rise in crude oil production and favorable global oil prices, which will support foreign exchange stability and strengthen external reserves. Additionally, fiscal reforms, including improved tax systems and broad-based revenue strategies, are expected to sustain the growth trajectory and stimulate the domestic economy.

However, significant challenges persist, particularly in addressing inflationary pressures, which remain elevated due to structural constraints such as high energy costs, logistical inefficiencies, and insecurity. While restrictive monetary policies and base effects are expected to moderate inflation in the near term, sustained efforts are required to tackle these underlying factors.

On the fiscal side, prudent management of public finances will be crucial. The anticipated benefits of global rate cuts must be strategically harnessed to optimize debt servicing and allocate resources effectively toward critical infrastructure and social investments.

Nigeria's policymakers have a pivotal role to play in reassuring stakeholders—both domestic and international—of the country's commitment to reform. By prioritizing inclusive growth, policy coherence, and tackling structural bottlenecks, Nigeria can position itself as a compelling destination for investments and partnerships, leveraging global shifts to chart a path toward sustainable development.

4.0.3 Macroeconomic Policy Action Priority Matrix

1. Inflation Control

Table 7 - Macroeconomic Policy Action Priority Matrix

Action	Timeframe	Impact	Policy Recommendations
Tighten Monetary Policy (Interest Rates)	Short-Term	High	Gradually increase interest rates to curb inflationary pressures while minimizing growth disruptions.
Improve Agricultural Productivity	Medium-Term	High	Subsidize key inputs (fertilizers, seeds), and invest in rural infrastructure (roads, irrigation).
Enhance Exchange Rate Stability	Medium-Term	Medium	Continue efforts to unify exchange rates, reduce speculative activity, and boost foreign reserves.

2. Fiscal Policy and Debt Management

Action	Timeframe	Impact	Policy Recommendations
Widen Tax Base	Short-Term	High	Formalize the informal sector, introduce digital tax collection systems, and reduce tax leakages.
Reduce Subsidies (e.g., fuel)	Short-Term	High	Gradually remove fuel subsidies while cushioning the impact with targeted social programs.
Debt Restructuring	Medium-Term	High	Improve debt management frameworks, and explore concessional financing to ease debt servicing costs.

3. Economic Diversification

Action	Timeframe	Impact	Policy Recommendations
Promote Non-Oil Exports	Medium-Term	High	Provide incentives for value-added exports, improve infrastructure, and reduce trade barriers.
Agricultural Sector Revitalization	Long-Term	High	Increase mechanization, improve access to finance and technology for farmers, and develop food value chains.
Foster Digital and Service Economy	Long-Term	High	Support growth in fintech, e-commerce, and digital services sectors to increase GDP contribution.

4. Structural Reforms

Action	Timeframe	Impact	Policy Recommendations
Energy Sector Reforms	Short-Term	High	Improve electricity supply through private-public partnerships in transmission and distribution, and enhance gas supply chains.
Infrastructure Development	Medium-Term	Medium	Prioritize investments in transport (rail, road), storage, and logistics to reduce operational costs for businesses.
Financial Sector Reforms	Long-Term	Medium	Deepen financial inclusion through mobile banking and fintech solutions; enhance capital markets for SMEs and start-ups.

5. Social Welfare and Poverty Alleviation

Action	Timeframe	Impact	Policy Recommendations
Expand Social Safety Nets	Short-Term	High	Digitization and Increasing funding for social programs targeting vulnerable groups affected by inflation and subsidy removals.
Job Creation Initiatives	Medium-Term	High	Promote public-private partnerships to stimulate job creation, especially in labor-intensive sectors like agriculture and manufacturing.
Invest in Education and Health	Long-Term	High	Increase budget allocations to human capital development, especially education and healthcare to improve long-term productivity.

6. External Sector

Action	Timeframe	Impact	Policy Recommendations
Boost Foreign Direct Investment (FDI)	Medium-Term	High	Improve the business climate by streamlining regulations and reducing bureaucratic delays.
Trade Policy Enhancement	Long-Term	Medium	Implement policies to diversify export base, and take advantage of regional agreements (e.g., AfCFTA).
Strengthen Foreign Reserves	Medium-Term	Medium	Promote non-oil exports and remittances to improve foreign exchange availability.

Prioritization Summary

- Short-Term (Immediate): Stabilizing inflation, enhancing energy supply, and ensuring fiscal sustainability.
- Medium-Term: Boosting agricultural productivity, fostering non-oil exports, and improving infrastructure.
- Long-Term: Promoting economic diversification, deepening financial markets, and investing in human capital.

Upcoming Fiscal Policy And Tax Reforms

The Presidential Fiscal Policy and Tax Reforms Committee (PFPTRC) has proposed a number of Bills that are geared towards enhancing government revenue, reducing inefficiencies and corruption, aligning taxes, reducing multiple taxation, and reducing the tax burden on the poorest. The Committee's key objectives amongst others include;

- Harmonization of multiple taxes and levies at all levels of government to a few numbers that are broad-based, high revenue-yielding, and relatively easy to administer.
- Unification of revenue collection functions into a single agency per government as much as possible.
- Improved public financial management with a focus on efficiency and quality of spending, non-tax revenue optimization, and sustenance.
- Modernisation and simplification of the tax system including the use of technology for revenue administration leveraging on data for intelligence to curb evasion and aggressive tax avoidance.
- Ensuring fairness and equity of tax incidence and fiscal burden while protecting the most vulnerable persons and small businesses.
- Removal of tax and fiscal impediments to business growth and economic development.
- Designing structures and frameworks to institutionalize reforms for effective policy coordination and collaboration among government agencies and tiers of government.
- Improved efficiency of revenue collection and transparent reporting.
- Ensuring effective utilization of tax and other revenues for social good to boost citizens' tax morale, promote tax culture, and drive voluntary compliance.
- Transforming revenue generation for sustainable development to achieve at least 18% Tax to GDP ratio within the next 3 years, that is, by 2026.

These proposals when actioned, will be salutary to the revenue generation efforts of the government and will reduce income disparity.

Some of the highlights include:

1. Increasing the non-taxable threshold for personal income tax from N200,000 to N800,000 per person
2. Increasing non-taxable threshold for businesses from N25,000,000 to N50,000,000
3. Recalibrating Value Added Tax (VAT) to reduce the Headquarters' Effect while benefiting states where real consumption takes place.
4. Reducing tax burden for the poorest while increasing tax burden commensurately for the richest.
5. Reducing the number of taxes from about 90 to just 9.
6. Shifting more tax concentration from companies to personal and property taxes to enable faster growth of the economy.





Thinking Ahead

Nigeria's economic trajectory is well cut out. Knowing the vibrant population and the abundance of human and capital resources, a strong growth of the economy is the only option that must be pursued. There is no economic development without economic growth. The tax reform proposals already point to a desire to close income gaps and ensure that the country does not rend its social fabric. That is commendable. With population growth at a robust 2.6%, growth must continue to outstrip that number. This is achievable. Nigeria's population – being heavily skewed towards the young – should be seen as a great advantage which however confers a responsibility on governance to harness human resources as the most important of the resources that a state is bestowed with. With positively motivated and mobilized human resources, natural resources will also achieve their potentials. This is the epoch where Nigeria finds herself.

There are many avenues for a country to achieve tangible, visible growth, different from the norm. Some of them are:

To discover new sectors, resources or products which is novel to the world. This is the hardest – almost impossible – to achieve.

To discover new exportable capabilities. This is tough, but with the right mindset, it can be achieved. Countries usually scale up by bringing in technology into what they are endowed with and then exporting innovations and capabilities to other countries eg. Finland grew from being a country rich in woodland, to creating electric woodcutters, and then phones (Nokia). The focus was on the technology, not the wood.

Capture activities better – in the global race for growth, a country cannot afford to let anything slip by. The ability to capture, enumerate, document, must be spot on. Nigeria needs to keep perfecting her data. The informal sector is still too large. Nigeria cannot afford amorphous economies. The statistical agencies are very key to measuring and reporting growth, wherever growth may occur.

Utilise resources more efficiently – This contributes greatly to growth. Nigeria has all the resources she needs for growth and greatness, especially human resources. Nigeria has a youth bulge. The median age is 16.9 in 2024. This means that the future is bright, that Nigeria is fertile, that population will keep growing steadily (providing a robust domestic economy), that we have exportable human resources, and more importantly, that if well-mobilized, developed, and motivated, we can grow with speed and alacrity. We have everything we need. This attribute can also be extended into the use of other factors of production – land, capital, technology, information, and knowledge. All must be well-deployed and utilised optimally.

Set higher targets for sectors – Every achievement starts with a dream. President Tinubu has shared his dream to grow the economy at a faster clip (potentially double digit). The needed reforms have been embarked upon. Every ministry and sector must be challenged to achieve faster growth (private and public sector). In this report, we have listed some sectors and indicated what we believe is their growth potential. Sector heads must have the expectations in mind to work towards them. They say those who aim for the skies often find themselves among the stars.

Provide public goods as a basis for growth – Public goods are goods that benefit everyone, like public infrastructure such as roads, policing and security, the army, a good environment, education (to an extent), health (to an extent), and even some infrastructure for wellbeing and leisure. When these public goods are available, people often have a better mental state of mind. But more importantly, the provision of public good offers avenue for employment. 13% of the workforce in the US are in public sector employment – with the Department of Defence employing the single largest numbers (4 million staff), while in the United Kingdom, the number is 17% with the National Health Service being the largest single employer (2.1 million staff). Nigeria presents with opportunities in the educational sector, health sector, social services sector, security sector, and environmental sectors. If these sectors are adequately manned, local entrepreneurs will thrive because of relative safety but more importantly that they will have customers with effective demand for their products.

Global campaigns to reposition the image of the country – Nations can also embark on campaigns to reposition their images. Nigeria presently has one of the worst images among nations. Nigeria is wrongly and harshly judged for sundry issues and our citizens are passed through harrowing situations because of preconceived mindsets all over the world. Nigeria could launch a campaign called CLEANEST, SAFEST AND MOST ORGANIZED COUNTRY IN AFRICA; a campaign that anchors employment for our youths in the environmental, social work, security, educational and health sectors, while also driving tourism. Every country has some crime, but some are seen as having very bad cases. Nigeria is safer than most countries on earth, but this should be sold actively. Our tourism must be turned around by our own efforts.

Leverage technology for more productivity and efficiency – In an Intelligence Age such as we are, technology continues to drive growth and productivity for every country that seizes on it. Nigeria is making real progress in pursuing information technology and telecommunications by committing to building an additional 90,000 kilometres of fibreoptics to drive seamless broadband and connect the country with the best in the world. Technology is also applicable to ensuring the delivery of government programs across the board by eliminating ghost workers and ensuring value for money in procurements and employment.

We look forward to a year 2025 full of outstanding achievements!



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